

BIBLIOGRAPHY

BIBLIOGRAPHY

A. BOOKS

1. M. P. Jain, *Indian Constitutional Law* (2019).
2. Dr. G.K. Kapoor & Dr. Sanjay Dhamija, *Taxmann's Company Law & Practice – A Comprehensive Textbook on the Companies Act 2013* (28th ed., 2024).
3. Taxmann's Editorial Board. *Taxmann's Company Law Manual – A Compendium of the Companies Act 2013 Along with Relevant Rules, Circulars, Notifications & Secretarial Standards* (24th ed., 2025).
4. Agostino Vollero, *Greenwashing: Foundations and Emerging Research on Corporate Sustainability and Deceptive Communication* (2022).
5. Chester I. Barnard, *The Functions of the Executive* (1938).
6. Dirk Schoenmaker, *The Impact Economy: Balancing Profit and Impact* (2020).
7. Donella H. Meadows et al., *The Limits to Growth: A Report for the Club of Rome's Project on the Predicament of Mankind* (1972).
8. Frances Bowen, *After Greenwashing: Symbolic Corporate Environmentalism and Society* (2014).
9. Geoffrey Heal, *When Principles Pay: Corporate Social Responsibility and the Bottom Line* (Columbia Univ. Press 2008).
10. Howard R. Bowen, *Social Responsibilities of the Businessman* (1953).
11. Ian Anders Gadd & Patrick Wallis, *Guilds, Society and Economy in London, 1450-1800* (Ian Anders Gadd & Patrick Wallis eds., Centre for Metropolitan History 2002).
12. John Pabon, *The Great Greenwashing: How Brands, Governments, and Influencers Are Lying to You* (2023).
13. Lucia Gatti, Ludovico Giacomo Conti & Peter Seele, *A Comprehensive Guide to Greenwashing Phenomena, Contexts, and Trends: The Mean, Lean Washing Machine* (2025).
14. Paul R. Ehrlich, *The Population Bomb* (1968).
15. R. Edward Freeman, *Strategic Management: A Stakeholder Approach* (1984).

16. R. Edward Freeman et al., *Stakeholder Theory: The State of the Art* (2010).
17. Rachel Carson, *Silent Spring* (1962).
18. Toby Miller, *Greenwashing Culture* (2017).

B. REPORTS

1. Advert. Standards Council of India, *Annual Complaints Report 2024-25* (2025).
2. Australian Securities & Investments Commission, *ASIC's interventions on greenwashing misconduct: 2023–2024*, REP 791 (Aug. 2024).
3. ASIC, *Mandatory Climate Reporting Regime: Implementation Guide for 2025-2026*, Australian Sec. & Inv. Comm'n (Oct. 2024).
4. CEAOB, *Guidelines on Limited Assurance*, European Comm'n (Sept. 2024).
5. Climate Bonds Initiative & MUFG Bank, *India Sustainable Debt State of the Market 2024* (2024).
6. Climate Bonds Initiative, *Green Finance Pricing Data from Indian Sustainable Finance Reports* (2024).
7. Corporate Climate Responsibility Monitor, *Annual Report* (2024).
8. CRISIL Research, *ESG Compendium: India Inc's ESG Scorecard* (2022).
9. Dep't of Consumer Aff., Gov't of India, *Annual Report 2024-25* (2025).
10. DGCCRF, *Rapport d'activité 2023-2024 : La lutte contre le greenwashing*, Ministère de l'Économie (Oct. 1, 2025).
11. EFRAG, *State of Play as of Q2 2024: Implementation of European Sustainability Reporting Standards (ESRS)* (July 2024).
12. Equirus Capital, *ESG Premium in Indian M&A Transactions* (2025).
13. European Comm'n, *Study on Substantiating Green Claims* (2020).
14. European Sec. & Mkts. Auth. (ESMA), *Guidelines on Funds' Names Using ESG or Sustainability-Related Terms* (May 14, 2024).
15. EY & Indian Chamber of Com., *Business Responsibility and Sustainability Reporting (BRSR): The Evolution of Sustainability Reporting in India* (2023).
16. EY, *2024 EY Global Corporate Reporting Survey* (2024).

17. EY, *2024 EY Institutional Investor Survey: The Disconnect Between Investor Confidence and Sustainable Finance Capabilities* (2024).
18. Global Covenant of Mayors for Climate & Energy, *Integrity Matters for Cities, States and Regions* (Dec. 2, 2023).
19. Institute of Company Secretaries of India (ICSI), *Green to Greed: Unravelling Corporate Deception* (2024).
20. International Organization of Securities Commissions (IOSCO), *Final Report on Supervisory Practices to Address Greenwashing*, FR15/2023 (Dec. 2023).
21. Kun-Mo Lee & Haruo Uehara, *Best Practices of International Organization for Standardization (ISO) 14021: Self Declared Environmental Claims*, APEC (Feb. 2003).
22. Min. of Fin., Dep't of Econ. Aff., Gov't of India, *Climate Finance Taxonomy Draft Framework* (May 2025).
23. Ministry of Corp. Aff., *National Guidelines on Responsible Business Conduct* (Mar. 15, 2019) (India).
24. Ministry of Corp. Aff., *Official Response to Tenth Report* (2025).
25. Morgan Stanley, *ESG Premium Analysis for Indian Equity Markets* (2024).
26. Morningstar, *Global Sustainable Fund Flows: Q4 2024 in Review* (Jan. 2025).
27. Organisation for Economic Co-operation and Development, *OECD Regulatory Enforcement and Inspections Toolkit* (2018).
28. Organisation for Economic Co-operation and Development, *OECD Regulatory Policy Outlook 2025* (2025).
29. Parliamentary Standing Comm. on Fin., Gov't of India, *Tenth Report on Demands for Grants (2025-26) of the Ministry of Corporate Affairs* (2025).
30. PwC, *EU Green Deal: Better Governance, Greater Value* (2024).
31. PwC India, *Institutional Investor Survey on ESG Credibility* (2024).
32. Reserve Bank of India, *ESG Investing and Stock Returns: A Cross-Country Study*, RBI Bulletin (Feb. 2023).
33. *Report of the Committee on Business Responsibility Reporting* (Gyaneshwar Kumar Singh, Chair) (Aug. 11, 2020).
34. SEBI, *Annual Report 2024-25* (2025).

35. TerraChoice, *Seven Sins of Greenwashing* (2007-2010).
36. U.N. High-Level Expert Grp. on the Net Zero Emissions Commitments of Non-State Entities, *Integrity Matters: Net Zero Commitments by Businesses, Financial Institutions, Cities and Regions* (Nov. 2022).
37. Zero Carbon Analytics, *How to Spot Greenwashing in a Sustainability Report: A Guide to Spotting False Environmental Claims* (2025).

C. STATUTES AND REGULATIONS

INDIAN LEGISLATION

1. Companies Act, 2013, No. 18, Acts of Parliament (India).
2. Companies (Amendment) Act, 2019, No. 28 (India).
3. Consumer Protection Act, 2019, No. 35, Acts of Parliament (India).
4. Environment (Protection) Act, 1986, No. 29, Acts of Parliament (India).
5. Food Safety and Standards Act, 2006 (India)
6. National Green Tribunal Act, 2010 (India)
7. Securities and Exchange Board of India Act, 1992 (India)
8. Trade Marks Act, 1999, No. 47, Acts of Parliament (India).
9. Water (Prevention and Control of Pollution) Act, 1974, No. 6, Acts of Parliament (India).

INDIAN REGULATIONS AND GUIDELINES

1. Advertising Standards Council of India, *Guidelines for Advertisements Making Environmental/Green Claims* (Feb. 15, 2024) (India).
2. Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India).
3. Cent. Consumer Prot. Auth., *Guidelines for Prevention of Misleading Advertisements and Endorsements for Misleading Advertisements*, 2022 (India).

4. Reserve Bank of India, *Framework for Acceptance of Green Deposits* (Apr. 11, 2023).
5. SEBI, Circular on Business Responsibility Reports, Circular No. CIR/CFD/DIL/8/2012 (Aug. 13, 2012).
6. SEBI, Circular on BRR Format for Top 500 Companies, Circular No. CIR/CFD/CMD/10/2015 (Nov. 4, 2015).
7. SEBI, Circular on Business Responsibility and Sustainability Reporting, Circular No. SEBI/HO/CFD/CMD-2/P/CIR/2021/562 (May 10, 2021).
8. SEBI, Circular on Enhanced Disclosure Norms for ESG Mutual Fund Schemes, Circular No. SEBI/HO/IMD/IMD-I DOF5/P/CIR/2023/136 (July 4, 2023).
9. SEBI, *Consultation Paper on ESG Disclosures, Ratings and Investing* (Feb. 20, 2023).
10. SEBI, Circular on BRSR Core Framework, Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2023/122 (July 12, 2023).
11. SEBI, Master Circular for ESG Rating Providers, Circular No. SEBI/HO/DDHS/DDHS-RACPOD1/P/CIR/2024/79 (July 17, 2024).
12. SEBI, *BRSR Reporting in India: Key Changes to ESG Disclosures*, Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2024/146 (Dec. 18, 2024).
13. SEBI, Circular on Regulatory Relaxations for Ease of Doing Business, Circular No. SEBI/HO/DDHS/DDHS-RACPOD1/P/CIR/2025/5 (Jan. 17, 2025).
14. SEBI, Circular on BRSR Related Amendments, Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2025/11 (Mar. 28, 2025).
15. SEBI, *Regulatory Framework for Issuance and Listing of ESG Debt Securities*, Circular No. SEBI/HO/DDHS/RACPOD1/P/CIR/2025/95 (June 5, 2025).
16. SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, *as amended* (2025).

EUROPEAN UNION LEGISLATION

1. Directive 2005/29/EC, of the European Parliament and of the Council of 11 May 2005 concerning unfair business-to-consumer commercial practices in the internal market, 2005 O.J. (L 149) 22.
2. Directive 2019/1937 of the European Parliament and of the Council of 23 October 2019 on the protection of persons who report breaches of Union law, 2019 O.J. (L 305) 17.
3. Directive 2022/2464, of the European Parliament and of the Council of 14 December 2022 amending Regulation (EU) No 537/2014, Directive 2004/109/EC, Directive 2006/43/EC and Directive 2013/34/EU, as regards corporate sustainability reporting, 2022 O.J. (L 322) 15.
4. Proposal for a Directive on Sustainable Environmental Claims (Green Claims Directive), COM (2023) 85 final (Mar. 22, 2023).

UNITED KINGDOM LEGISLATION

1. Companies Act 2006, c. 46 (UK).
2. Competition & Mkts. Auth., *Green Claims Code: Making Environmental Claims* (2021) (UK).
3. Competition & Mkts. Auth., *Green Agreements Guidance: Guidance on the Application of Competition Law to Sustainability Agreements* (Oct. 2023) (UK).
4. Fin. Conduct Auth., Finalised Guidance FG24/3: Guidance on the Anti-Greenwashing Rule (2024).
5. Fin. Conduct Auth., *CP23/16: Sustainability Disclosure Requirements (SDR) and Investment Labels* (2023).

UNITED STATES LEGISLATION AND RULES

1. *FTC Green Guides*, Fed. Trade Comm'n.
2. *FTC Green Guides: Announcement of Review*, 87 Fed. Reg. 77766 (Dec. 20, 2022).

3. The Enhancement and Standardization of Climate-Related Disclosures for Investors, 87 Fed. Reg. 21334 (proposed Apr. 11, 2022) (to be codified at 17 C.F.R. pts. 210, 229, 232, 239, 249).

AUSTRALIAN LEGISLATION

1. Corporations Act 2001 (Cth) (Austl.).
2. Treasury Laws Amendment (Financial Market Infrastructure and Other Measures) Act 2024 (Cth) (Austl.).

BRAZILIAN LEGISLATION

1. Resolução CVM nº 59, de 22 de dezembro de 2021, Diário Oficial da União [D.O.U.] de 23.12.2021 (Braz.).

D. RESEARCH PAPERS AND JOURNAL ARTICLES

1. Wren Montgomery, Thomas P. Lyon & Julian Barg, *No End in Sight? A Greenwash Review and Research Agenda*, 37 Org. & Env't 502 (2024).
2. Alan D. Cullison, *A Review of Hohfeld's Fundamental Legal Concepts*, 16 Clev.-Marshall L. Rev. 559 (1967).
3. Alfonso Siano et al., *"More than Words": Expanding the Taxonomy of Greenwashing after the Volkswagen Scandal*, 71 J. Bus. Res. 27 (2017).
4. Andrea Brock & Alexander Dunlap, *Normalising Corporate Counterinsurgency: Engineering Consent, Managing Resistance and Greening Destruction around the Hambach Coal Mine and Beyond*, 62 Pol. Geography 33 (2018).
5. Andrew Halpin, *Rights, Duties, Liabilities, and Hohfeld*, 13 Legal Theory 23 (2007).
6. Annapurna Pattnaik, *Constitutional Provisions for the Protection and Conservation of Environment with Important Caselaws*, 3(5) Int'l J. L. Mgmt. & Human. 120 (2020).

7. Antonio J. Mateo-Márquez, José M. González-González & Constanicio Zamora-Ramírez, *An International Empirical Study of Greenwashing and Voluntary Carbon Disclosure*, 363 J. Cleaner Prod. 132567 (2022).
8. Antonio Montero-Navarro et al., *A Bibliometric Analysis of Greenwashing Research: A Closer Look at Agriculture, Food Industry and Food Retail*, 123 Brit. Food J. 547 (2021).
9. Aradhna Sharma, *Corporate Social Responsibility in India: The Emerging Discourse and Concerns*, 1 Indian J. Indus. Rel. 582 (2013).
10. Arati Varma, *Greenwashing and the Risk of Climate-Related Litigation for Directors and Officers*, QBE (Feb. 19, 2024).
11. Archana Jaiswal & Deepshikha Thapak, *Need For Corporate Accountability*, 9 Int'l J. Soc. Sci. & Econ. Res. 1 (2024).
12. Archie B. Carroll, *Carroll's Pyramid of CSR: Taking Another Look*, 1 Int'l J. Corp. Soc. Resp. 1 (2016).
13. Archie B. Carroll, *A Three-Dimensional Conceptual Model of Corporate Performance*, 4 Acad. Mgmt. Rev. 497 (1979).
14. Asaf Raz, *A Purpose-Based Theory of Corporate Law* (unpublished manuscript, 2020).
15. Abatino, G. Dari-Mattiacci & E. C. Perotti, *Depersonalization of Business in Ancient Rome*, 31 Oxford J. Legal Stud. 365 (2011).
16. Béatrice Parguel, Florence Benoît-Moreau & Fabrice Larceneux, *How Sustainability Ratings Might Deter 'Greenwashing': A Closer Look at Ethical Corporate Communication*, 102 J. Bus. Ethics 15 (2011).
17. Bertrand Kian Hassani & Yacoub Bahini, *Crosswashing in Sustainable Investing: Unveiling Strategic Practices Impacting ESG Scores* (unpublished manuscript, Mar. 21, 2024).
18. Christian Lebelhuber & Dorothea Greiling, *Strategic Response to Institutional Pressures of Climate Change: An Exploration among Gas Sector Companies*, 16 Rev. Mgmt. Sci. 863 (2022).

19. Christopher Marquis, Michael W. Toffel & Yanhua Bird, *Scrutiny, Norms, and Selective Disclosure: A Global Study of Greenwashing*, 27 *Org. Sci.* 483 (2016).
20. Colin Mayer, *The Purpose of Law and the Law of Purpose* (2022).
21. David Vogel, *Corporate Responsibility for the Environment*, in *The Market for Virtue: The Potential and Limits of Corporate Social Responsibility* 67 (2006).
22. Deepa Singh, *Strengthening Corporate Accountability in India: A Governance Perspective*, 8 *Indian J. Corp. Governance* 45 (2024).
23. Edmond J. Smith, *Socially Responsible and Responsive Business in Seventeenth-Century England*, in *A History of Socially Responsible Business, c.1600-1950* (William A Pettigrew & David Chan Smith eds., 2017).
24. Eric C. Chaffee, *The Origins of Corporate Social Responsibility* (unpublished manuscript, Apr. 24, 2017).
25. Eun-Hee Kim & Thomas P. Lyon, *Greenwash vs. Brownwash: Exaggeration and Undue Modesty in Corporate Sustainability Disclosure*, 26 *Org. Sci.* 705 (2015).
26. Francesca Bernini & Fabio La Rosa, *Research in the Greenwashing Field: Concepts, Theories, and Potential Impacts on Economic and Social Value*, 28 *J. Mgmt. & Governance* 405 (2024).
27. Francesca Bernini, Marco Giuliani & Fabio La Rosa, *Measuring Greenwashing: A Systematic Methodological Literature Review*, 33 *Bus. Ethics, Env't & Resp.* 649 (2024).
28. Francesca Manes-Rossi et al., *Drivers of Integrated Reporting by State-Owned Enterprises in Europe: A Longitudinal Analysis*, 29 *Meditari Acct. Res.* 586 (2021).
29. Frances Bowen & J. Alberto Aragon-Correa, *Greenwashing in Corporate Environmentalism Research and Practice: The Importance of What We Say and Do*, 27 *Org. & Env't* 107 (2014).
30. Frederic William Maitland, *Introduction to Otto Gierke, Political Theories of the Middle Ages* xii–xlv (1900).

31. Geoffrey Todd, *Some Aspects of Joint Stock Companies, 1844-1900*, 4 Econ. Hist. Rev. 46 (1932).
32. George Ferns & Kenneth Amaeshi, *Fueling Climate (In)Action: How Organizations Engage in Hegemonization to Avoid Transformational Action on Climate Change*, 42 Org. Stud. 1005 (2021).
33. George Kassinis & Alexia Panayiotou, *Visuality as Greenwashing: The Case of BP and Deepwater Horizon*, 31 Org. & Env't 25 (2018).
34. Gergely Nyilasy, Harsha Gangadharbatla & Angela Paladino, *Perceived Greenwashing: The Interactive Effects of Green Advertising and Corporate Environmental Performance on Consumer Reactions*, 125 J. Bus. Ethics 693 (2014).
35. Giuseppe Labbozzetta, *The Era of Environmental Transparency: Comparative Analysis of Green Claims/Greenwashing Regulations in the European Union, United Kingdom, and United States (2024–2026)*, 19 Int'l In-House Counsel J. (Sept. 2025).
36. *Greenwashing 3.0: Narratives About the Future*, in Proceedings of the 19th European Conference on Innovation and Entrepreneurship (ECIE 2024) (Stéphanie Buisine ed., 2024).
37. Halyani Hassan, Zuhairah Ariff Abd Ghadas & Nasarudin Abdul Rahman, *'The Myth of Corporate Personality': A Comparative Legal Analysis of the Doctrine of Corporate Personality of Malaysian and Islamic Laws*, 6 Austl. J. Basic & Applied Sci. 191 (2012).
38. Han Wang, Feng Hu & Laura Canas da Costa, *Sustainable Finance Taxonomies in ASEAN: Towards Regional Harmonization* (United Nations Environment Programme Finance Initiative, Mar. 2025).
39. Herlina Jupiter et al., *Tracing the Evolution of Corporate Social Responsibility: A Historical Review*, 7 Int. J. Entrepreneurship & Mgmt. Prac. 218 (2024).
40. Hubert Kubiak, *The Phenomenon of Greenwashing in Marketing Communication of CSR*, 12 Współczesne Problemy Ekonomiczne 95 (2016).

41. Ivana Martinčević, Dinko Primorac & Barbara Dorić, *Corporate Sustainability Reporting Directive (CSRD): Obligations, Challenges and Requirements for Companies*, 10 *Entrenova - Enter. Rsch. Innovation J.* (2024).
42. J. MacLennan & W. De Catelle, *The Revision of EU Greenwashing Laws: A New Framework of Analysis*, 10 *Bus. & Hum. Rts. J.* (Mar. 28, 2025).
43. Jayati Sarkar & Subrata Sarkar, *Large Shareholder Activism in Corporate Governance in Developing Countries: Evidence from India*, 1 *Int'l Rev. Fin.* 161 (2000).
44. Joe Williams, *Greenwashing: Appearance, Illusion and the Future of 'Green' Capitalism*, 18 *Geography Compass* e12736 (2024).
45. John W. Meyer & Brian Rowan, *Institutionalized Organizations*, 83 *Am. J. Soc.* 340 (1977).
46. Karen Becker-Olsen & Sean Potucek, *Greenwashing*, in *Encyclopedia of Corporate Social Responsibility* 1318 (Samuel O. Idowu et al. eds., 2013).
47. Kariuki Muigua, *Greenwashing: A Hindrance to Achieving Sustainability* (Aug. 2023).
48. Karl Martin Ekornes Mertens, *Milton Friedman and Social Responsibility: An Ethical Defense of the Stockholder Theory* (unpublished M.A. thesis, Univ. of Oslo, 2013).
49. Katalin Cseres, *EU Regime for Corporate Green Claims*, 33 *Rev. Eur. & Comp. L.* 1 (2024).
50. Kristina Frøyland Ommundsen & Karen Eva Jónsdóttir, *Re-Conceptualizing Greenwashing through Media Discourses* (unpublished M.A. thesis, Univ. of Agder, 2024).
51. Leonardo Davoudi, Christopher McKenna & Rowena Olegario, *The Historical Role of the Corporation in Society*, 6 *J. Brit. Acad.* 17 (2018).
52. *Liability for Greenwashing in Company Sustainability Reports: A Novel Application of the English Tort Law Doctrine of Assumption of Responsibility*, 118 *AJIL Unbound* 274 (2024).

53. Lucia Gatti, Peter Seele & Lars Rademacher, *Grey Zone in, Greenwash out. A Review of Greenwashing Research and Implications for the Voluntary-Mandatory Transition of CSR*, 4 Int'l J. Corp. Soc. Resp. 6 (2019).
54. Magali A. Delmas & Vanessa Cuerel Burbano, *The Drivers of Greenwashing*, 54 Cal. Mgmt. Rev. 64 (2011).
55. Mahi Pandit, *Constitutional Recognition of Environmental Protection in India* (unpublished manuscript, Mar. 23, 2023).
56. Mallika Tamvada, *Corporate Social Responsibility and Accountability: A New Theoretical Foundation for Regulating CSR*, 5 Int'l J. Corp. Soc. Resp. 1 (2020).
57. Margherita Macellari et al., *Exploring Bluewashing Practices of Alleged Sustainability Leaders through a Counter-Accounting Analysis*, 86 Env't Impact Assessment Rev. 106489 (2021).
58. Mark I. Weinstein, *Don't Buy Shares Without It: Limited Liability Comes to American Express*, 37 J. Legal Stud. 189 (2008).
59. Marta Torres Gunfaus et al., *Paris+10 Diagnosis: Looking Back to Look Forward* (2025).
60. Martin Szilasi, *CSRD: Obligations, Challenges, Requirements*, 2024 Civil Review 1 (2024).
61. Matthew H. Kramer, *The Hohfeldian Analysis of Legal and Moral Relationships*, in *Rights and Right-Holding: A Philosophical Investigation* (2024).
62. Menno D.T. de Jong, Gabriel Huluba & Ardion D. Beldad, *Different Shades of Greenwashing*, 34 J. Bus. & Tech. Comm. 38 (2020).
63. Menno D.T. de Jong, Gabriel Huluba & Ardion D. Beldad, *Making Green Stuff?*, 32 J. Bus. & Tech. Comm. 77 (2018).
64. Michael C. Jensen & William H. Meckling, *Theory of the Firm: Managerial Behavior, Agency Costs and Ownership Structure*, 3 J. Fin. Econ. 305 (1976).
65. Michael Wagner, *Profit and Surety: The British Chartered Trading Companies and the State*, in *A History of Socially Responsible Business, c.1600-1950* (William A Pettigrew & David Chan Smith eds., 2017).

66. Mihir Naniwadekar & Umakanth Varottil, *The Stakeholder Approach Towards Directors' Duties Under Indian Company Law: A Comparative Analysis*, in *The Indian Yearbook of Comparative Law* 2016 95 (M.P. Singh ed., 2017).
67. Milton Friedman, *The Social Responsibility of Business Is to Increase Its Profits*, N.Y. Times Mag., Sept. 13, 1970, at 32.
68. Mohamed H. Elmagrhi et al., *Greenwashing: Causes, Consequences, and How It Can Be Fought*, J. Bus. Ethics (2024).
69. Mohammad Talib, *Environmental Regulations and Corporate Legal Responsibilities in India*, 15 J. Env't L. & Pol'y 112 (2024).
70. Muzaffar Hassan et al., *The Myth of Corporate Personality: A Comparative Legal Analysis*, 1 Int'l J. Bus. & Soc. Sci. 166 (2012).
71. N.V. Narasimham Murthy, *Corporate Governance and its Relevance to India*, 1 Indian J. Corp. Governance 1 (2011).
72. Neelam Chennattu, *Theories of Corporate Social Responsibility (CSR) and Corporate Integrity*, in *Handbook of Research on Behavioral Finance and Investment Strategies* (Zeynep Copur ed., 2020).
73. Neil Crilly, Mikko Zollo & Michael T. Hansen, *The Grammar of Decoupling*, 59 Acad. Mgmt. J. 705 (2016).
74. Noémi Nemes et al., *An Integrated Framework to Assess Greenwashing*, 14 Sustainability 4431 (2022).
75. P. Kumar & N. Prakash, *Board Independence, Gender Diversity and Environmental Disclosure: Evidence from Indian Listed Firms*, 10 Int'l J. Bus. Ethics & Governance 1 (2019).
76. P. Pimpalkar, *Legal Accountability for Greenwashing: Addressing Misleading Environmental Claims in Corporate Practices*, 7(5) Int'l J. Res. Pub. & Rev. 1024 (2024).
77. P.S. Shankar & S. Bindal, *Right to Environment and Right to Development: A Judicial Conundrum*, 4(1) Int'l J. L. Mgmt. & Human. 642 (2021).
78. Phillip I. Blumberg, *Limited Liability and Corporate Groups*, 11 J. Corp. L. 573 (1986).

79. Phillip Lipton, *The Evolution of the Joint Stock Company to 1800: A Study of Institutional Change* (unpublished manuscript, 2009).
80. Priyanka Aggarwal & Aarti Kadyan, *Greenwashing: The Darker Side of CSR*, 4 Int'l J. Advanced Res. 61 (2011).
81. Priyanka Aggarwal & Aarti Sharma, *Corporate Governance and Greenwashing: Evidence from Indian Listed Companies*, 14 J. Sustainable Fin. & Inv. 205 (2023).
82. Priyanka Sharma & Vinod Kumar, *A Study on Consumer's Awareness towards Greenwashing*, 12 Int'l J. Mgmt. Stud. 45 (2024).
83. Rajesh Chakrabarti et al., *Corporate Governance in India*, 20 J. Applied Corp. Fin. 59 (2008).
84. Robert A. Ritz, *Climate Targets, Executive Compensation, and Corporate Strategy* (Cambridge Working Papers in Econ. No. 2020, 2020).
85. Robert J. Brulle, *The Climate Lobby: A Sectoral Analysis of Lobbying Spending on Climate Change in the USA, 2000 to 2016*, 149 Climatic Change 289 (2018).
86. Roberto Tallarita, *Hohfeld in the Boardroom*, SSRN Electronic Journal (2025), <https://doi.org/10.2139/ssrn.5349969>.
87. S. Kushwah, *Article 21 of the Indian Constitution and Environmental Rights Jurisprudence*, 4(2) Int'l J. L. Mgmt. & Human. 120 (2021).
88. S. Malhotra & P. Singh, *Eco-Friendly or Eco-Fraud: Analysing the Indian Regulatory Framework on Greenwashing*, 12 Nat'l L.U. Delhi L. Rev. 45 (2024).
89. S. Velankar et al., *Corporate Board Structure and ESG Performance: An Empirical Study of Listed Firms in the Emerging Market*, 15 Corp. Board: Role, Duties & Composition 8 (2019).
90. Saar Alon-Barkat, *The Emotive Effect of Government Branding on Citizens' Trust and Its Boundaries: Does the Personal Relevance of the Policy Issue Matter?*, 98 Pub. Admin. 551 (2020).
91. Sebastião Vieira De Freitas Netto et al., *Concepts and Forms of Greenwashing: A Systematic Review*, 32 Env't Sci. Eur. 19 (2020).

92. Sigurt Vitols, *The Emerging Corporate Sustainability Reporting System: What Role for Workers' Representatives?*, 29 *Transfer: Eur. Rev. Labour & Res.* 1 (2023).
93. Silvia Ruiz-Blanco, Silvia Romero & Belen Fernandez-Feijoo, *Green, Blue or Black, but Washing, What Company Characteristics Determine Greenwashing?*, 24 *Env't Dev. & Sustainability* 4024 (2022).
94. Smita Satapathy, *Constitutional Provisions for the Protection of Environment in India*, 4(2) *Int'l J. L. Mgmt. & Human.* 3060 (2021).
95. Sonal Pareek et al., *Gender Diversity and Corporate Sustainability Performance: Empirical Evidence from India*, 20 *Vilakshan: XIMB J. Mgmt.* 204 (2023).
96. Suhua Yan & Hong Zhang, *From Corporate Responsibility to Corporate Accountability*, 58 *Bus. Horizons* 451 (2015).
97. Sushobhan Sensharma, Manish Sinha & Dipasha Sharma, *Do Indian Firms Engage in Greenwashing? Evidence from Indian Firms*, 16 *Australasian Acct. Bus. & Fin. J.* 67 (2022).
98. *The Regulatory Landscape of Greenwashing in India: A Legal Perspective*, 5(2) *Int'l J. Adv. Legal Res.* (2024).
99. Thomas P. Lyon & A. Wren Montgomery, *The Means and End of Greenwash*, 28 *Org. & Env't* 223 (2015).
100. Thomas P. Lyon & John W. Maxwell, *Greenwash: Corporate Environmental Disclosure*, 20 *J. Econ. & Mgmt. Strategy* 3 (2011).
101. Tom Calamai et al., *Corporate Greenwashing Detection in Text: A Survey* (unpublished manuscript, Feb. 11, 2025).
102. Vedika Awasthi & Atharava Singh, *Green Lies, Legal Ties: Greenwashing the New Corporate Camouflage*, 6 *Int'l J. Law Mgmt. & Humanities* 1 (2025).
103. Vikramaditya S. Khanna, *The Economic History of the Corporate Form in Ancient India* (unpublished manuscript, 2005).

104. Wei Li et al., *Effects of Greenwashing on Financial Performance: Moderation Through Local Environmental Regulation and Media Coverage*, 32 Bus. Strategy & Env't 2890 (2023).
105. Wesley Newcomb Hohfeld, *Some Fundamental Legal Conceptions as Applied in Judicial Reasoning*, 23 Yale L.J. 16 (1913).
106. Zia Kishwar et al., *Exploring the True Shade of Green: A Critical Examination of the Cent. Consumer Prot. Auth.'s Guidelines on Corporate Greenwashing*, Indian J.L. & Legal Res. (2024).

E. CASE LAWS

INDIAN CASES

1. *M.C. Mehta v. Kamal Nath*, (2000) 6 SCC 213 (India).
2. *M.C. Mehta v. Union of India*, (1987) 1 SCC 395 (India).
3. *M.C. Mehta v. Union of India*, (2002) 4 SCC 356 (India).
4. *M.K. Ranjitsinh & Ors. v. Union of India & Ors.*, 2024 SCC OnLine SC 570 (India).
5. *Miheer H. Mafatlal v. Mafatlal Indus. Ltd.*, (1997) 1 SCC 579 (India).

INTERNATIONAL CASES

1. *ASIC v. Vanguard*, [2024] FCA 308 (Austl.).
2. *ClientEarth v. Shell plc*, [2023] EWHC 1137 (Ch) (Eng.).
3. *ClientEarth v. Shell plc*, [2023] EWHC 1897 (Ch) (Eng.).
4. *Fossielvrij NL v. KLM Royal Dutch Airlines*, Rb. Amsterdam, ECLI:NL:RBAMS:2024:1512 (Mar. 20, 2024) (Neth.).
5. *Infinite Style Servs. Co. Ltd / Shein*, PS12709 (Autorità Garante della Concorrenza e del Mercato July 29, 2025) (It.).
6. *Iowa v. SEC*, No. 24-1522 (8th Cir. filed Mar. 15, 2024).
7. *Milieudefensie et al. v Royal Dutch Shell plc*, Rb. Den Haag, ECLI:NL:RBDHA:2021:5339 (May 26, 2021) (Neth.).

8. *Milieudefensie et al. v Royal Dutch Shell plc*, Gerechtshof Den Haag, ECLI:NL:GHDHA:2024:1931 (Nov. 12, 2024) (Neth.).
9. *People of the State of New York v. JBS USA Food Co.*, Index No. 450682/2024 (N.Y. Sup. Ct. Feb. 28, 2024).
10. *United States v. Walmart Inc.*, No. 1:22-cv-00965 (D.D.C. Apr. 8, 2022).

F. OTHER WEBSITES AND ONLINE SOURCES

1. Msimang & C. Tucker, *South Africa: Developments in the Regulation of Green Claims and Greenwashing*, Bowmans (Nov. 27, 2023), <https://bowmanslaw.com/insights/south-africa-developments-in-the-regulation-of-green-claims-and-greenwashing/>.
2. Adrah Parafiniuk & Zachary A. Smith, *Green Gilded Oil: How Faux Sustainability by US Oil Companies Is Undermining Neo-Sustainability*, 11 Sustainability 3760 (2019).
3. Alexander B. Simkin & Eileen M. Falk, *Greenwashing Legislation Trends: Key Takeaways for Businesses*, Ropes & Gray (Sept. 2, 2025), <https://www.ropesgray.com/en/insights/viewpoints/10212on/greenwashing-legislation-trends-key-takeaways-for-businesses>.
4. Ayush Verma, *How MC Mehta Led to the Formation of Jurisdiction on Environmental Laws in India*, ipleaders (Aug. 15, 2020), <https://blog.ipleaders.in/mc-mehta-led-formation-jurisdiction-environmental-laws-india/>.
5. Baker McKenzie, *Greenwashing in Latin America: A Comparative Guide* (2024), <https://www.bakermckenzie.com/-/media/files/insight/guides/2023/greenwashing-in-latin-america.pdf>.
6. Baker McKenzie, *Vague Claims and Substantiation Requirements* (2024), https://insightplus.bakermckenzie.com/bm/consumer-goods-retail_1/european-union-regime-for-corporate-green-claims.
7. Beacon, *FTC Enforcement Trends in Environmental Marketing* (2023), <https://www.beaconlaw.com>.

8. Bhatt & Joshi Assocs., *Environmental Law Landmark Cases: Recent Judicial Developments in India's Environmental Protection Framework* (2024), <https://bhattandjoshiassociates.com/environmental-law-landmark-cases-recent-judicial-developments-in-indias-environmental-protection-framework/>.
9. *Brazil: CMS Green Globe on Environmental Marketing*, CMS Law (2025), <https://cms.law/en/int/publication/cms-green-globe/brazil>.
10. Bureau of Indian Standards, *Eco Mark - Eco Mark Certification* (2024).
11. CAG, *How India's Greenwashing Guidelines Can Protect Consumers* (2024).
12. *Canada: Navigating the Evolving Anti-Greenwashing Landscape*, Nomos (Sept. 2024), <https://www.nomos-elibrary.de/index.php?doi=10.5771/1619-2427-2024-23-1-1>.
13. Charlie Martin, *The Greenwashing Regulatory Landscape in North America in 2025*, Antigreenwash Charter (Jan. 2025), <https://antigreenwashcharter.org/the-greenwashing-regulatory-landscape-in-north-america-in-2025/>.
14. Charles Russell Speechlys, *Anti-greenwashing in the UK, EU and the US: The Outlook for 2025 and Best Practice Guidance* (June 9, 2025), <https://www.charlesrussellspeechlys.com/en/insights/expert-insights/dispute-resolution/2025/anti-greenwashing-in-the-uk-eu-and-the-us-the-outlook-for-2025-and-best-practice-guidance>.
15. Clark Hill, *Cracking Down on Deceptive Green Marketing Claims* (2024), <https://www.clarkhill.com/news-events/news/cracking-down-on-deceptive-green-marketing-claims-recent-developments-in-the-us-and-eu/>.
16. Clyde & Co, *Greenwashing in Chile: Chile v. USA, EU and Brazil* (Apr. 2025), <https://www.clydeco.com/en/insights/2025/04/greenwashing-in-chile-chile-v-usa-eu-and-brazil>.
17. Compliance & Risks, *Green Claims and Eco-Labeling Compliance: A Complete Guide* (2024), <https://www.complianceandrisks.com/blog/green-claims-and-eco-labeling-compliance-a-complete-guide-to-avoiding-greenwashing-while-building-consumer-trust>.

18. CSR-Net, *UK Greenwashing Rules 2025 Compliance Guide* (2025), <https://cse-net.org/uk-greenwashing-rules-2025-compliance-guide/>.
19. Cyril Amarchand Mangaldas, *Greenwashing - New Guidelines and the Path to Compliance* (2024).
20. Data Monitor: *Brazil's Corporate Greenwashing Stalls Climate Progress*, CAAD (Apr. 2025), <https://caad.info/analysis/newsletters/data-monitor-april-2025-brazils-corporate-greenwashing-stalls-climate-progress/>.
21. De Facto L., *Principle of Environmental Law in India* (Feb. 10, 2020), <https://www.defactolaw.in/post/principle-of-environmental-law-in-india>.
22. De Rebus, *Sustainability and the Consumer Protection Act: Addressing greenwashing in South African consumer law*, <https://www.derebus.org.za/sustainability-and-the-consumer-protection-act-addressing-greenwashing-in-south-african-consumer-law/>.
23. Decerna, *What is ISO 14021? Self-Declared Environmental Claims Explained* (2023), <https://www.decerna.co.uk/knowledge-base/life-cycle-assessment/iso-standards/what-is-iso-14021-self-declared-environmental-claims-explained>.
24. Dechert LLP, *FCA's Anti-Greenwashing Rule and Related Guidance – A Summary*, Dechert OnPoint (May 10, 2024), <https://www.dechert.com/knowledge/onpoint/2024/5/fca-s-anti-greenwashing-rule-and-related-guidance—a-summary.html>.
25. Deloitte, *Executive Summary of the SEC's Landmark Climate Disclosure Rule*, Dart (Apr. 8, 2024), <https://dart.deloitte.com/USDART/home/publications/deloitte/heads-up/2024/sec-climate-disclosure-requirements-ghg-emissions-executive-summary>.
26. DLA Piper, *Eighth Circuit Indefinitely Pauses SEC Climate Rule Litigation* (2024), <https://www.dlapiper.com>.
27. Ecomundo EU, *ECGT Enforcement and Penalties* (2024), <https://ecomundo.eu/en/blog/eu-directive-2024-825-misleading-green-claims>.

28. *Environment Protection under Constitutional Framework of India*, Press Info. Bureau (Apr. 22, 2014), <https://www.pib.gov.in/newsite/printrelease.aspx?relid=105411>.
29. European Comm'n, *Consumer Protection Cooperation Network Sweep Methodology* (2024), https://ec.europa.eu/info/live-work-travel-eu/consumer-rights-and-complaints/enforcement-consumer-protection/sweeps_en.
30. European Comm'n, *Green Claims*, https://environment.ec.europa.eu/topics/circular-economy-topics/green-claims_en.
31. European Parliament Legislative Train Schedule, *Green Claims Directive: Status of the Legislative Process* (June 2025), <https://www.europarl.europa.eu/legislative-train/theme-a-european-green-deal/file-substantiating-environmental-claims>.
32. EY, *European Parliament Adopts New Rules on Green Claims* (2024), https://www.ey.com/en_gl/technical/tax-alerts/european-parliament-adopts-new-rules-on-green-claims.
33. EY, *SEC's Rules to Standardize Climate-Related Disclosures* (2024), https://www.ey.com/en_us/insights/assurance/sec-s-rules-to-standardize-climate-related-disclosures.
34. Frantz Ward, *It is Not Easy Being Green: FTC Guidelines on Environmental Marketing Claims* (Feb. 24, 2025), <https://www.frantzward.com/news-updates/2025/02/it-is-not-easy-being-green-ftc-guidelines-on-envi>.
35. Gertrude Szili & Matthew W. Rofo, *Greening Port Misery: Marketing the Green Face of Waterfront Redevelopment in Port Adelaide, South Australia*, 25 Urb. Pol'y & Res. 363 (2007).
36. Globe & Mail, *Greenhushing in Canada: The Chilling Effect of Bill C-59* (July 15, 2025), <https://www.theglobeandmail.com/business/article-canada-anti-greenwashing-law-greenhushing/>.
37. Gonzalo E. Mon & Katherine Rogers, *P&G Accused of Greenwashing and Creating 'Frankenforests'*, Kelley Drye (Feb. 3, 2025),

<https://www.kelleydrye.com/viewpoints/blogs/ad-law-access/p-g-accused-of-greenwashing-and-creating-frankenforests>.

38. Grantham Research Institute, *UN Recommendations Seek to Tackle Greenwashing and Push Net Zero Governance Forward*, LSE (Nov. 8, 2022), <https://www.lse.ac.uk/granthaminstitute/news/un-recommendations-seek-to-tackle-greenwashing-and-push-net-zero-governance-forward>.
39. *Greenwashing and ESG Compliance in India: Legal Accountability for Misleading Sustainability Claims*, Record of Law (2024).
40. *Greenwashing and the role of the Advertising Regulatory Board in South Africa*, Webber Wentzel, <https://www.webberwentzel.com/News/Pages/greenwashing-and-the-role-of-the-advertising-regulatory-board-in-south-africa.aspx>.
41. *Greenwashing in India: Laws, Regulations & Ethics*, Mondaq (Oct. 18, 2024), <https://www.mondaq.com/india/environmental-law/>.
42. Harvard Law School Forum, *Key Implications of SEC's Climate-Related Disclosure Rules* (Apr. 1, 2024), <https://corpgov.law.harvard.edu/2024/04/01/key-implications-of-secs-climate-related-disclosure-rules/>.
43. Health & Hum. Rts. J., *A Breath of Fresh Air: Indian Supreme Court Declares Protection from Climate Change a Fundamental Right* (Apr. 11, 2024), <https://www.hhrjournal.org/2024/04/a-breath-of-fresh-air-indian-supreme-court-declares-protection-from-climate-change-a-fundamental-right/>.
44. Hodgson Russ, *Biodegradable Plastics: FTC Continues Anti-Greenwashing Campaign* (2013/2024).
45. Hogan Lovells, *Mexico Tightens Environmental Corporate Crimes* (2024), <https://www.hoganlovells.com/en/publications/mexico-tightens-environmental-corporate-crimes>.
46. Hogan Lovells, *The UK FCA's anti-greenwashing rule: ignore it at your peril* (July 23, 2024), <https://www.hoganlovells.com/en/publications/the-uk-fcas-anti-greenwashing-rule-ignore-it-at-your-peril>.

47. Indian Inst. of Legal Stud., *Theories of Corporate Personality* (2021), https://www.iilsindia.com/study-material/990411_1615125045.docx.
48. Jon McGowan, *Future of EU Greenwashing Law Uncertain as Green Claims Directive Falts*, Forbes (June 26, 2025), <https://www.forbes.com/sites/jonmcgowan/2025/06/26/future-of-eu-greenwashing-law-uncertain-as-green-claims-directive-falts>.
49. Karishma Anklesaria et al., *The Green Mirage: A Conceptual Review of Green Washing in the Indian Context*, Res. Square (Aug. 25, 2025).
50. Kingsley Napley, *FCA's Anti-Greenwashing Rule Takes Effect* (2024), <https://www.kingsleynapley.co.uk/insights/blogs/criminal-law-blog/fcas-anti-greenwashing-rule-takes-effect-what-it-means-for-compliance-and-esg-accountability>.
51. KPMG, *SEC Stays Its Climate Rule Pending Judicial Review* (2024), <https://kpmg.com/us/en/frv/reference-library/2024/sec-stays-its-climate-rule-pending-judicial-review.html>.
52. Latham & Watkins, *EU Sustainability: State of Play* (2024), <https://www.lw.com/en/insights>.
53. *Marketing and Advertising Under RERA: What Builders Can and Cannot Do*, Reralawyers.in (Feb. 15, 2021), <https://reralawyers.in/marketing-and-advertising-under-rera-what-builders-can-and-cannot-do/>.
54. Morgan Lewis, *UK Financial Conduct Authority Adopts New Anti-Greenwashing Rule* (2024), <https://www.morganlewis.com/pubs/2024/08/uk-financial-conduct-authority-adopts-new-anti-greenwashing-rule-and-guidance>.
55. *Navigating ESG Compliance: Lessons from Recent Trends and the Santos Case*, Dispute Resol. Blog (2024).
56. Nirmithi Autkar, *Context of Greenwashing in Indian Parlance*, TaxGuru (Feb. 13, 2024), <https://taxguru.in/sebi/context-greenwashing-indian-parlance.html>.
57. Nishith Desai Associates, *Corporate Social Responsibility: A Policy in Transition* (2019).

58. Norton Rose Fulbright, *Competition Bureau releases final guideline on “Environmental claims and the Competition Act”* (June 2025), <https://www.nortonrosefulbright.com/en/knowledge/publications/7103dcd2/competition-bureau-releases-final-guideline-on-environmental-claims-and-the-competition-act>.
59. Parul Kumar & Abhayraj Naik, *India’s New Constitutional Climate Right*, VerfBlog (Apr. 25, 2024), <https://verfassungsblog.de/indias-new-constitutional-climate-right/>.
60. Peters & Peters, *FTC Sues Kohl’s and Walmart* (2022), <https://www.petersandpeters.com>.
61. Prachi Bishnoi, *Greenwashing vs. Genuine Sustainability*, The Sustainable Brands J. (Mar. 9, 2024), <https://thesustainablebrandsjournal.com/greenwashing-vs-genuine-sustainability>.
62. Priya Kulshrestha, *Self-Regulation in Indian Advertising: An Assessment of ASCI*, 12 J. Media L. & Ethics 78 (2020).
63. Press Release, Fed. Trade Comm’n, *FTC Enforcement Action Targets Deceptive Green Marketing in Bamboo Textiles* (Apr. 8, 2022), <https://www.ftc.gov/news-events/news/press-releases/2022/04/ftc-uses-penalty-offense-authority-seek-largest-ever-civil-penalties-deceptive-marketing-rayon-textiles>.
64. Press Release, Securities and Exchange Commission, *SEC Adopts Rules to Enhance and Standardize Climate-Related Disclosures for Investors* (Mar. 6, 2024), <https://www.sec.gov/newsroom/press-releases/2024-31>.
65. Rajah & Tann Asia, *Managing Greenwashing Risks: A Southeast Asian Lens* (May 26, 2023), <https://www.rajahtannasia.com/viewpoints/managing-greenwashing-risks-a-southeast-asian-lens>.
66. *Redefining ESG Reporting: SEBI Introduces Standard-Backed BRSR Core Reporting*, ESG360 (2024).
67. Ruhm & Assocs., *The Boardroom Goes Global: Legal Duties and ESG Accountability in 2025*, <https://www.ruhmandassociates.com/board-room->

goes-global-legal-duties-esg-accountability-and-transnational-corporate-governance-in-2025.

68. S. Gupta, *Understanding Greenwashing and Trademarks in India*, SpicyIP (Aug. 15, 2024), <https://spicyip.com/>.
69. Sidley Austin, *SEC Ends Defense of Climate-Related Disclosure Rules* (Apr. 1, 2025), <https://www.sidley.com/en/insights/newsupdates/2025/04/sec-ends-defense-of-climate-related-disclosure-rules>.
70. Sonja Hoffmann, Yann Utzschneider, Spencer Beall & Janina Moutia-Bloom, *Greenwashing Risk and the Fashion Industry: A Snapshot of Legal Developments*, White & Case (June 13, 2025), <https://www.whitecase.com/insight-our-thinking/greenwashing-risk-and-fashion-industry-snapshot-legal-developments>.
71. Stewarts Law, *Will Directors Be Held Liable for Corporate Greenwashing?* (2024), <https://www.stewartslaw.com/news/will-directors-be-held-liable-for-corporate-greenwashing/>.
72. Sweep, *Net Zero Claims and Disclosure* (2025), <https://www.sweep.net/blog/sec-ends-defense-of-climate-disclosure-rules>.
73. UK Fin. Conduct Auth., *Joint Statement on ESG Enforcement* (2024), <https://www.fca.org.uk/publications>.
74. Wolters Kluwer, *European Commission Fines Volkswagen and BMW* (2021), <https://www.wolterskluwer.com>.

APPENDIX-I

CERTIFICATES OF SEMINARS AND

PUBLISHED PAPERS



2nd South Asian Global Intellectual Property Summit, 2025
South Asian Global Intellectual Property Conference, 2025

Certificate of Presentation

THIS IS TO CERTIFY THAT

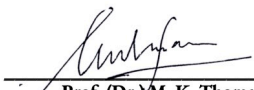
Saumya Singh

from *Chanakya National Law University*, has successfully presented a paper titled *"Greenwashing, Labelling and IP: Corporate Responsibility Standards for Accurate Environmental Claims in Digital Marketplaces"* in *Technical Session 2* of the *South Asian Global Intellectual Property Conference (SAGIPC, 2025)*, Organised by the *Centre for Development of Intellectual Property and Research, Naovina Development of Intellectual Property and Research Foundation* held on **December 23, 2025**.

IP CONFERENCE 2025


Mr. Dipendu Das
Director, CDIPR

Ref. SAGIPC25/TS2/046
 Issued in New Delhi, India


Prof. (Dr.) M. K. Thomas
Conference Chair, SAGIPC, 2025





CERTIFICATE OF PRESENTATION

This is to certify that **Saumya Singh**, Ph.D Research Scholar, **Chanakya National Law University, Patna**, has presented a research paper titled **Combating Greenwashing Through Corporate Responsibility: Legal Initiatives and Policy Reforms for Transparent Environmental Governance** at the International Conference on Innovation, Governance and Sustainability (ICIGS) 2025, organised by the **School of Law & Public Policy, Avantika University, Ujjain**, in association with **Law Colloquy**, held on **20th-21st December 2025**.

The organising committee acknowledges & appreciates the presenter's scholarly contribution & active participation in the conference.

Dr. Priya Sepaha
Conference Chair & Founder
(Law Colloquy)

Nitin Rane
Vice - Chancellor





INTERNATIONAL JOURNAL OF CREATIVE RESEARCH THOUGHTS | ISSN: 2320 - 2882

An International Open Access, Peer-reviewed, Refereed Journal

The Board of
International Journal of Creative Research Thoughts
Is hereby awarding this certificate to

Saumya Singh

In recognition of the publication of the paper entitled
**Digital Deception or Eco-Branding? Navigating the Intermediary Liability
Paradox and Greenwashing in India's E-Commerce Ecosystem**

Published In IJCRT (www.ijert.org) & 7.97 Impact Factor by Google Scholar

Volume 14 Issue 1 January 2026 , Date of Publication: 10-January-2026

UGC Approved Journal No: 49023 (18)

PAPER ID : IJCRT2601444

Registration ID : 300074

Scholarly open access journals, Peer-reviewed, and Refereed Journals, Impact factor 7.97 (Calculate by google scholar and Semantic Scholar / AI-Powered Research Tool) , Multidisciplinary, Monthly Journal



EDITOR IN CHIEF

INTERNATIONAL JOURNAL OF CREATIVE RESEARCH THOUGHTS | IJCRT
An International Scholarly, Open Access, Multi-disciplinary, Indexed Journal
Website: www.ijert.org | Email id: editor@ijert.org | ESTD: 2013

Certificate No. V080425-11314

INTERNATIONAL JOURNAL OF LAW MANAGEMENT & HUMANITIES

[ISSN 2581-5369] | Peer-Reviewed & Multi-Indexed | PIF - 6.885

Certificate of publication for manuscript titled

Penalty Structure Reform: Aligning Greenwashing Fines with Corporate Profit Margins and Creating Genuine Deterrence

Authored By

Saumya Singh

Research Scholar at Chanakya National Law University, Patna, India.

Published in

Volume 9, Issue 1 (2026), Pages: 799 - 811

DOI: <https://doi.org/10.10000/IJLMH.1111315>



INTERNATIONAL
JOURNAL
OF
LAW MANAGEMENT
AND
HUMANITIES

G. Kesharwan

Mr. Gyan Prakash Kesharwani
Chairperson & Publishing Editor

Pooja Dasgupta

Dr. Pooja Dasgupta
Editorial Director

APPENDIX-II

PUBLISHED PAPERS



Digital Deception Or Eco-Branding? Navigating The Intermediary Liability Paradox And Greenwashing In India's E-Commerce Ecosystem

Saumya Singh

PhD Research Scholar

Chanakya National Law University, Patna, India

Abstract: The rapid expansion of e-commerce in India has seen a parallel rise in 'greenwashing', the practice of making misleading or unsubstantiated environmental claims. While the Central Consumer Protection Authority (CCPA) notified the Guidelines for Prevention and Regulation of Greenwashing in 2024, this paper argues that the current legal framework remains ill-equipped to handle the nuances of digital deception. This paper identifies three critical legal gaps: (1) the inadequacy of the 'reasonable consumer' standard in the face of algorithmic targeting and cognitive vulnerability; (2) the 'Intermediary Liability Paradox' where compliance with greenwashing guidelines traps platforms into potentially forfeiting their 'Safe Harbor' immunity under Section 79 of the IT Act; and (3) the evidentiary burden created by the ephemeral nature of digital 'dark patterns.' By synthesizing Indian consumer law, IT law, and comparative international standards like the EU Digital Services Act, this paper proposes specific reforms, including a reverse burden of proof under the Indian Evidence Act, the creation of a 'Safe Compliance Lane' for intermediaries, and the mandatory establishment of digital ad repositories to ensure transparency and accountability in India's green digital marketplace.

Keywords: Greenwashing, E-Commerce, Intermediary Liability, Dark Patterns, CCPA Guidelines 2024.

1. Introduction

The rapid expansion of e-commerce in India has fundamentally altered the landscape of branding, advertising, and consumer engagement. Digital platforms enable firms to reach consumers at unprecedented scale and speed, but they have also intensified the risk of deceptive practices. Among these, greenwashing, the practice of misleading consumers through false, exaggerated, or unverifiable environmental claims, has emerged as a significant concern in digital commerce. In the Indian context, where sustainability narratives increasingly shape consumer preferences and corporate branding, greenwashing represents a critical intersection of environmental claims, consumer protection, and digital deception.

Indian consumers are now routinely exposed to sustainability-related claims such as “eco-friendly,” “carbon neutral,” or “environmentally responsible” in online marketplaces, social media advertising, and influencer-driven promotions. Empirical studies indicate that a substantial proportion of large Indian corporations engage in superficial or selective environmental disclosures, often without independent verification, thereby distorting consumer choice and undermining genuine sustainability efforts.¹ The digital environment further amplifies this risk by enabling algorithm-driven advertising, dark patterns, and opaque design choices that obscure material information and manipulate consumer decision-making.² As a result, greenwashing in e-commerce is not merely a marketing ethics issue but a form of digital deception with tangible legal and consumer welfare implications.

India’s legal response to this phenomenon has, until recently, been fragmented. There is no single statute that explicitly defines or penalizes greenwashing. Instead, regulatory control has been exercised indirectly through a patchwork of laws and guidelines, including the Consumer Protection Act, 2019, the Consumer Protection (E-Commerce) Rules, 2020, self-regulatory advertising codes, securities law-based ESG disclosures, and sector-specific environmental regulations.³ Scholars have consistently noted that this diffusion of authority creates enforcement gaps, allowing misleading environmental claims to persist with limited accountability.⁴ The absence of clear standards for substantiation, verification, and disclosure has historically enabled corporations to exploit ambiguity in sustainability terminology.

In response to growing concern, Indian regulators have taken decisive steps. On October 15, 2024, the Central Consumer Protection Authority (CCPA) formally notified the Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims, 2024.⁵ These binding rules represent a paradigm shift, mandating that all environmental claims be backed by verifiable evidence and prohibiting the use of generic terms like “clean” or “eco-friendly” without specific qualifiers. While these guidelines provide a necessary legal definition, early implementation suggests that traditional enforcement mechanisms struggle to keep pace with the algorithmic speed of digital marketplaces.⁶

This paper critically examines the intersection of greenwashing and digital deception in Indian e-commerce branding. It situates greenwashing within broader debates on misleading advertising, dark patterns, and ESG disclosures, and evaluates whether existing legal frameworks are adequate to protect consumers in the digital marketplace. This paper goes beyond simply listing regulations to explain why they fail to stop online deception. It argues that current laws, which are built for a world of printed ads and standard shoppers, cannot handle the reality of modern apps. Specifically, these laws fail to address three key digital problems: how algorithms target specific vulnerabilities, how platforms hide behind “neutrality” laws while actively promoting fake green products, and how digital evidence often disappears before it can be collected. By analyzing these gaps, the paper exposes why “transparency” is often an illusion in Indian e-commerce and proposes practical ways to hold platforms accountable.

2. Conceptual and Theoretical Framework: Greenwashing and Digital Deception

Greenwashing emerges from a fundamental mismatch between corporate environmental rhetoric and substantive environmental performance. Delmas and Burbano conceptualize greenwashing as “the dissemination of disinformation by an organization so as to present an environmentally responsible public image,”⁷ driven by competing institutional, market, and firm-level incentives that reward appearance over authenticity. Lyon and Montgomery further clarify that greenwashing encompasses both the means, deceptive communication strategies, and the ends, wherein corporations spend disproportionate resources marketing environmental commitments rather than implementing genuine sustainability measures.⁸ The seminal TerraChoice framework identifies seven persistent typologies of greenwashing: hidden trade-offs (emphasizing environmental attributes while concealing broader impacts), unsubstantiated claims lacking credible proof, vague language such as “eco-friendly” or “natural,” irrelevant claims, lesser-of-evils positioning, fraudulent certifications, and misleading visual imagery and symbolism.⁹ An integrated framework developed by contemporary scholars extends these typologies to encompass selective disclosure, future-oriented claims, and

comparative assertions, providing a more comprehensive lens through which to assess the legitimacy of environmental claims across diverse product categories and sectors.¹⁰

The translation of greenwashing from traditional marketing to digital commerce introduces distinctive deceptive mechanisms that amplify consumer vulnerability. E-commerce platforms facilitate targeted advertising algorithmic targeting based on consumer profiles, enabling firms to direct misleading environmental claims toward consumers most susceptible to such messaging. Moreover, digital interfaces employ “dark patterns,” which are now formally recognized and prohibited under the CCPA’s Guidelines for Prevention and Regulation of Dark Patterns, 2023. In the specific context of greenwashing, these manifest as “**False Urgency**” (e.g., “Only 2 Eco-friendly units left at this price!”) and “**Basket Sneaking**” (automatically adding ‘carbon offset’ donations to the cart without consent).¹¹ Other common tactics include “**Green Crowding**” (hiding in a group or initiative to avoid individual scrutiny) and “**Greenhushing**” (under-reporting sustainability data to evade scrutiny).¹² The opacity of platform ecosystems, where multiple sellers operate under unified storefronts with inconsistent information verification, creates accountability vacuums wherein platforms become complicit in propagating deceptive environmental claims without rigorous substantiation mechanisms.

Empirical evidence reveals that consumers systematically struggle to distinguish authentic environmental claims from deceptive ones, rendering them vulnerable to manipulation. Studies demonstrate that exposure to greenwashing triggers significant negative emotional outcomes, anger, betrayal, and erosion of trust, particularly when consumers become aware of deception post-purchase.¹³ This awareness paradoxically reduces willingness to pay premiums for subsequent green products, undermining market incentives for genuine corporate environmental responsibility. Consumer perception of greenwashing negatively influences green purchasing intention through mediated pathways of perceived betrayal and emotional distrust, suggesting that deceptive environmental claims do not merely deceive in isolated transactions but systematically destabilize consumer confidence in the green product market generally.¹⁴ Digital deception through dark patterns and manipulative interface design compounds this effect, with experimental evidence showing that dark patterns increase purchase impulsivity and decrease post-decision satisfaction compared to transparent purchasing environments.¹⁵

These mechanisms of greenwashing and digital deception constitute violations of consumer protection principles encoded within Indian statutory law. Misleading environmental claims constitute “misleading advertisements” under the Consumer Protection Act, 2019, wherein representations about product characteristics diverge from actual product attributes; deceptive environmental assertions simultaneously constitute “unfair trade practices” insofar as they exploit consumer information asymmetry and psychological vulnerabilities.¹⁶ The systematic deployment of dark patterns in presenting environmental claims may further constitute defects in service provision by e-commerce platforms, which bear obligations to ensure accurate and non-deceptive product information. Understanding greenwashing and digital deception through this conceptual framework thus establishes the foundation for analyzing how Indian consumer protection law addresses these phenomena and where doctrinal and institutional gaps necessitate reform.

3. Indian Market Context: Green Consumers and E-Commerce Expansion

India's consumer landscape exhibits a pronounced and growing segment of environmentally conscious buyers whose purchasing decisions increasingly reflect pro-environmental concerns and sustainability values. Empirical research demonstrates that Indian consumers display significant environmental concern that meaningfully influences green purchasing behavior, with studies revealing that consumers exposed to environmental information exhibit heightened willingness to purchase eco-friendly products and, in some instances, to pay premium prices for perceived environmental authenticity.¹⁷ Among younger and educated demographics, particularly millennials in urban centers, environmental consciousness correlates with preference for organic, sustainable, and green-certified products across multiple sectors including FMCG, cosmetics, and wellness.¹⁸ This pro-environmental orientation creates powerful market incentives for firms to market their products as environmentally responsible, fostering an environment wherein greenwashing flourishes, as companies compete to capture environmentally conscious consumers' willingness to pay premiums by adopting environmental rhetoric without necessarily implementing substantive sustainability measures.¹⁹ Concurrently, India's e-commerce sector has undergone transformative expansion, with the digital retail market projected to

reach USD 300 billion by 2030, driven by over 900 million internet users and 650 million smartphone users, affordable digital infrastructure, and platforms such as Amazon India, Flipkart, and emerging direct-to-consumer brands proliferating across urban and rural markets.²⁰ Within this expanding digital commerce ecosystem, environmental claims have become ubiquitous, appearing across product listings, digital advertisements, social media sponsored content, app-based interfaces, and online marketplace filters, often accompanied by green badges, sustainability certifications, and eco-label imagery lacking rigorous verification mechanisms.²¹ The convergence of rising environmental consciousness among Indian consumers and the exponential growth of digital commerce channels, coupled with the technical affordances of online platforms that facilitate rapid dissemination of visual and textual environmental claims, has created an acute and largely unregulated space wherein greenwashing proliferates at scale.

4. Indian Consumer Protection Framework Relevant to Digital Greenwashing

The Consumer Protection Act, 2019 represents a paradigmatic shift from its 1986 predecessor, specifically designed to address contemporary digital commerce challenges absent in traditional offline transactions. The 2019 Act explicitly defines "e-commerce" and "electronic commerce entity," recognizing digital platforms as distinct market structures requiring tailored protective mechanisms.²² Critically, the Act defines "misleading advertisement" under Section 2(28) as any advertisement that, directly or by implication, falsely represents facts concerning product characteristics, benefits, or environmental attributes, thereby establishing a textual basis for regulating greenwashing claims.²³ The definition of "unfair trade practice" under Section 2(47) encompasses deceptive representations, concealment of material facts, and exploitation of consumer vulnerability, all directly applicable to misleading environmental claims.²⁴ The Central Consumer Protection Authority, established under the 2019 Act, possesses broad suo motu powers to investigate and regulate misleading advertisements and unfair trade practices, including authority to issue directions restraining dissemination of deceptive environmental claims, impose penalties up to rupees fifty lakhs per violation, and mandate corrective advertising and product recalls.²⁵

The Consumer Protection (E-Commerce) Rules, 2020 impose explicit obligations on marketplace and inventory e-commerce entities to ensure accurate, non-misleading product information, exercise due diligence regarding seller representations, and maintain grievance redressal mechanisms for false environmental claims.²⁶ These rules establish platform accountability for content hosted within their interfaces, effectively extending consumer protection obligations to digital intermediaries. Complementing statutory frameworks, the Bureau of Indian Standards has established IS/ISO 14024:2018 standards for eco-labeling and environmental claims in advertising, while the Advertising Standards Council of India provides guidance on substantiability and explicitness requirements for environmental assertions.²⁷

Crucially, the Central Consumer Protection Authority (CCPA) recently released the Guidelines for Prevention and Regulation of Greenwashing, 2024. These guidelines attempt to mitigate industry-wide ambiguity by mandating that corporations substantiate environmental assertions, such as "organic," "carbon neutral," or "eco-friendly," with verifiable evidence. They further prohibit future-oriented claims lacking clear transition plans. However, we argue in this paper that even these new definitions overlook the technical mechanisms through which online platforms actually function.

Underlying these sectoral and self-regulatory instruments, India's constitutional jurisprudence frames consumer protection against greenwashing as integral to environmental justice; courts have repeatedly recognized environmental rights as encompassed within Article 21's "right to life," establishing PIL as an accessible remedy for systematic greenwashing that undermines collective environmental and consumer autonomy.

5. Why Current Laws Don't Work for Online Greenwashing?

While the CPA 2019 and the 2024 Guidelines provide critical definitions of greenwashing, they remain insufficient in curtailing the sophisticated deceptive mechanisms prevalent in digital ecosystems.²⁸ This section analyzes three structural legal failures that emerge when applying traditional consumer protection standards to the digital marketplace.

5.1. The “Reasonable Consumer” vs. Algorithmic Vulnerability: Indian consumer jurisprudence is historically anchored to the “reasonable consumer” standard, an idealized average individual who is diligent and sensible. This doctrine assumes a uniform advertising environment, such as a physical billboard or print media. However, algorithmic curation fundamentally shatters this uniformity. Online platforms leverage “persuasion profiles” to identify and exploit specific cognitive vulnerabilities.²⁹ By identifying users who exhibit high “eco-anxiety,” algorithms can deliver hyper-targeted green claims designed to bypass the critical faculties that a “reasonable” person might otherwise exercise.

When an AI-driven interface isolates a vulnerable consumer and feeds them a tailored environmental narrative, the traditional “average consumer” test becomes an obsolete heuristic. The platform is no longer addressing the public; it is manipulating individual bias. By judging these deceptive practices through the lens of a skeptical, generalized consumer, the law ignores a critical reality: the targeting itself constitutes a form of deception that renders the consumer specifically, rather than generally, vulnerable.

5.2. The Intermediary Liability Paradox: A fundamental conflict exists between the Guidelines for Prevention and Regulation of Greenwashing, 2024 and the Information Technology (IT) Act, 2000. The 2024 Guidelines impose a duty on “service providers” and “advertisers”, categories that encompass e-commerce platforms, to ensure that environmental claims are substantiated. This necessitates an active verification role for the platform. As a response, leading platforms have already moved toward compliance; for instance, Amazon India updated its seller compliance framework in late 2024, mandating the upload of credible certifications for claims like “carbon neutral” or “biodegradable.” Similarly, Flipkart has institutionalized its “Flipkart Green” storefront, originally launched in early 2023 and subsequently refined to meet evolving regulatory standards.³⁰ This proactive compliance creates a significant legal vulnerability under Section 79 of the IT Act. To maintain “Safe Harbor” immunity, Section 79(2)(c) requires that an intermediary must not “select or modify” the information contained in a transmission. By actively vetting green certificates or curating “Green” stores, platforms are arguably exercising “editorial control” or “selection.” Courts in *Christian Louboutin Sas v. Nakul Bajaj* (2018) have held that active “curation” or “promotion” of goods destroys Safe Harbor immunity. Thus, platforms are in a precarious position, operating in a “legal grey zone” where they must choose between CCPA compliance, which mandates active verification, and the preservation of IT Act safe harbor immunity. This regulatory limbo suggests that market leaders, by choosing to comply with consumer protection norms, may have already inadvertently jeopardized their status as passive intermediaries.³¹

5.3. The Case for Ad Repositories: The digital environment exacerbates the evidentiary challenges faced by consumers. Unlike a physical product label that can be preserved for litigation, digital deception through “dark patterns” is often ephemeral. Deceptive environmental claims, such as a “False Urgency” countdown timer linked to a “green deal,” may appear briefly for a specific user and then vanish, leaving no audit trail.

This creates a “Black Box” effect where the evidence of deception is exclusively held by the platform or advertiser. In the absence of a mandatory digital archive, similar to the Ad Repository requirements under the EU Digital Services Act (DSA), regular consumers are structurally barred from proving their case. Without a legal mechanism to force the “preservation” of digital interactions, the rights granted by the 2024 Guidelines remain largely unenforceable in practice.

5.4. Influencer Marketing and the ASCI: Digital greenwashing in India is increasingly decentralized through influencer marketing. The CCPA (India) Guidelines 2024, read with the ASCI Guidelines for Influencer Advertising, impose a positive duty on ‘endorsers’ to perform due diligence before making environmental claims. However, a jurisdictional gap remains: while influencers are liable for “misleading ads,” the platforms hosting these influencers often escape liability by claiming they are merely providing a “stage.” This

fragmentation allows “green-nannying”, the use of relatable influencers to push unsubstantiated claims, to bypass the rigorous checks applied to traditional corporate advertisements.³²

6. Comparative and International Perspectives on Digital Greenwashing

International regulatory frameworks establish instructive benchmarks for addressing digital greenwashing. The OECD's 2016 Consumer Protection in E-Commerce Guidelines, revised to address digital commerce challenges, emphasize transparency in online transactions, substantiation of product claims, and platform accountability for hosted content, principles directly applicable to environmental claims.³³ The European Union has pursued aggressive enforcement against misleading environmental claims, particularly regarding "climate-neutral" and "carbon-offset" assertions lacking scientific substantiation, while the EU Digital Services Act establishes baseline transparency obligations for online platforms regarding algorithmic content curation and advertising practices.³⁴ Australia's Australian Consumer and Competition Commission has initiated enforcement actions against major retailers for making unsubstantiated environmental claims on digital platforms, establishing precedent for holding marketplaces accountable for seller-generated misleading representations regarding product sustainability and eco-certification.³⁵ These jurisdictions collectively establish that effective anti-greenwashing frameworks require: (1) explicit statutory or regulatory definitions of substantiation thresholds for environmental claims; (2) affirmative platform obligations to monitor and remove unverified green claims; (3) enhanced disclosure mechanisms for environmental certifications and claims origins; and (4) meaningful enforcement mechanisms with sufficient penalties to deter systematic deception.

India's framework can integrate these comparative lessons through concrete reforms: statutory clarification of substantiation standards for environmental claims, particularly distinguishing between verifiable certifications (BIS, ISO standards) and vague or unproven assertions; mandatory platform responsibility provisions requiring e-commerce entities to implement verification systems before green badges or certifications appear in search results or product listings; algorithmic transparency requirements ensuring that environmental claims do not disproportionately influence consumer search results or recommendations without adequate substantiation disclosure; and enhanced CCPA enforcement capacity through specialized greenwashing units and technical expertise in evaluating environmental claims. Additionally, India should develop coordinated guidance between the CCPA, environmental regulators, and self-regulatory bodies (ASCI, BIS) to harmonize substantiation standards and prevent regulatory arbitrage wherein firms exploit gaps between consumer protection, environmental, and advertising frameworks.³⁶ Such comparative benchmarking positions India's anti-greenwashing regime as both protective of consumer autonomy and supportive of authentic environmental sustainability efforts within digital commerce ecosystems.

7. Conclusion and Recommendation

Digital greenwashing in e-commerce branding represents a significant and largely unregulated form of consumer and environmental harm in India, operating at the intersection of information asymmetry, market incentive distortion, and institutional capacity constraints. This paper has established that greenwashing encompasses both classical forms of deceptive environmental marketing and distinctly digital mechanisms, including dark patterns, algorithmic manipulation, influencer-driven claims, and in-platform certifications, that amplify consumer vulnerability in online marketplaces. India's Consumer Protection Act, 2019, while conceptually adequate in its definitions of misleading advertisements and unfair trade practices, falls substantially short in addressing the scale and sophistication of fragmented coordination with environmental, advertising, and standard-setting bodies.³⁷

Addressing these gaps requires multifaceted reform.

7.1. Reversing the Burden of Proof: Invoking the Evidence Act: The structural asymmetry between platforms and consumers necessitates a shift in the burden of proof. We propose that the CPA 2019 be amended to introduce a “Reverse Burden” for all environmental claims. Drawing on Section 106 of the Indian Evidence

Act, 1872, which places the burden on any person to prove a fact “especially within their knowledge”, the law must presume that a green claim is misleading unless the seller or platform can produce contemporaneous, third-party verification. If a corporation profits from a “sustainable” premium, the onus of proving that sustainability must lie solely on them.³⁸

7.2. Constructing a “Safe Compliance Lane” under Section 79: To resolve the Intermediary Liability Paradox, the Ministry of Electronics and Information Technology (MeitY) must issue a clarification or amendment to the IT Rules. A specific proviso should be added to Section 79 of the IT Act, stating that due diligence measures undertaken to comply with statutory consumer protection guidelines (including environmental verification) do not constitute “editorial control” or the “selection of the transmitter” under Section 79(2). This would establish a “Safe Compliance Lane,” encouraging platforms to proactively purge greenwashing without jeopardizing their broader safe harbor immunity.³⁹

7.3. Mandatory Transparency and the Digital India Act: India should adopt international best practices by mandating that e-commerce platforms maintain a publicly accessible Digital Ad Repository. Furthermore, the upcoming Digital India Act (DIA), intended to replace the aging IT Act, must explicitly categorize “Green Dark Patterns” as a prohibited algorithmic harm. The DIA should require platforms to archive every environmental claim and its target demographic for a minimum of one year, following the EU DSA model. This would eliminate the “Black Box” problem, allowing regulators and civil society to audit the algorithmic deployment of green claims.⁴⁰

7.4. Institutional Synergy: Finally, the CCPA (India) must evolve into a more technically capable regulator through institutional synergy. We propose the creation of a “Green Oversight Council” comprising representatives from the CCPA, SEBI (to align with BRSR/ESG disclosures), and ASCI. This unit should be staffed with environmental scientists and data auditors capable of detecting algorithmic deception. India must bridge the gap between consumer rights, securities law, and environmental science to ensure that the law values proven sustainability over marketed sustainability.

REFERENCES

- ¹ Mithilesh Gidage et al., *Greenwashing in the Indian Corporate Landscape: An Empirical Assessment of ESG Disclosures of NIFTY 50 Companies*, 27 ENV'T DEV. & SUSTAINABILITY 21861, 21863-65 (2024).
- ² Ansruta Debnath & Shubham Singh, *Evaluating India's Dark Patterns Guidelines – Advocating a Comprehensive Approach*, L. SCH. POL'Y REV. (Mar. 4, 2024).
- ³ Int'l Inst. for Sustainable Dev. & Ctr. for Responsible Bus., *Combating Greenwashing: India's Guidelines for Prevention and Regulation of Greenwashing and Misleading Environmental Claims* 12–15 (2025).
- ⁴ See S.S. Rana & Co., *Greenwashing: A Deceptive Marketing Strategy*, LEXOLOGY (2024) (analyzing the fragmented nature of India's pre-2024 greenwashing regulations); see also Gidage et al., *supra* note 1.
- ⁵ Central Consumer Protection Authority, *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, 2024 (Oct. 15, 2024), https://consumeraffairs.gov.in/public/upload/admin/cmsfiles/whatsnews/The_Guidelines_for_Prevention_and_Regulation_of_Greenwashing_or_Misleading_Environmental_Claims_2024_whatsnews.pdf.
- ⁶ Int'l Inst. for Sustainable Dev. & Ctr. for Responsible Bus., *Combating Greenwashing: India's Guidelines for Prevention and Regulation of Greenwashing and Misleading Environmental Claims* 12–15 (2025).
- ⁷ Magali A. Delmas & Valérie C. Burbano, *The Drivers of Greenwashing*, 54 CAL. MGMT. REV. 64, 64-65 (2011).
- ⁸ Thomas P. Lyon & A. Wren Montgomery, *The Means and End of Greenwash*, 17 ORG. & ENV'T 433, 433-436 (2015).
- ⁹ Underwriters Labs TerraChoice Division, *The Sins of Greenwashing: Home and Family Edition* (2010), available at <https://www.terrachoice.com/research>.
- ¹⁰ *An Integrated Framework to Assess Greenwashing*, 14 SUSTAINABILITY 4431 (2022).
- ¹¹ Arunesh Mathur et al., *Dark Patterns at Scale: Findings from a Crawl of 11K Shopping Websites*, 2019 IEEE S&P 584, 584-598 (2019); see also *End User Accounts of Dark Patterns as Felt Manipulation*, ArXiv (2020).
- ¹² See DARK PATTERNS IN DIGITAL MARKETING AND CONSUMER MANIPULATION (2025) (documenting prevalence of dark pattern tactics on Indian e-commerce platforms including false urgency, hidden costs, and forced continuity); See also Sholapur et al., *How People Recognize Dark Pattern in E-Commerce?*, 13 J. SYS. & INFO. (2025) (analyzing consumer inability to recognize dark patterns despite exposure on Indonesian platforms analogous to Indian e-commerce ecosystem).
- ¹³ See *Describing Brown as Green*, 2024 COGENT BUS. & MGMT. (2024); See also Markus Blühdorn et al., *Impact of Greenwashing Perception on Consumers' Green Purchasing Intentions: A Moderated Mediation Model*, 14 SUSTAINABILITY

12119 (2022) (showing greenwashing perception negatively influences green purchase intention through mediated pathway of perceived betrayal).

¹⁴ *Id.*; See also Johnny Jeanson et al., *The (In)Ability of Consumers to Perceive Greenwashing and Its Influence on Purchase Intent and Willingness to Pay*, 46 S. AFR. J. ECON. & MGMT. SCI. 1 (2022).

¹⁵ Niklas Kristoffer Carlson et al., *Dark Patterns in Online Shopping: Do They Work and Can Nudges Help Mitigate Impulse Buying?*, 13 CAMBRIDGE OPEN ENGAGE S2398-063X (2022) (finding that dark patterns significantly increase purchase impulsivity across all pattern types tested relative to control).

¹⁶ Consumer Protection Act, 2019, § 2(47)-(49) (India), available at http://consumeraffairs.gov.in/public/upload/files/CP%20Act%202019_1732700731.pdf (defining “misleading advertisement,” “unfair trade practice,” and “defect in service”).

¹⁷ Pro-environmental Concern Influencing Green Buying: A Study on Indian Consumers, 19 INT'L J. BUS. & MGMT. 1 (2011).

¹⁸ Purchasing Eco-Sustainable Products: Interrelationship between Environmental Knowledge, Environmental Concern, Green Attitude, and Perceived Behavior, 13 SUSTAINABILITY 4601 (2021).

¹⁹ Effect of Green Marketing Practices on Consumer Behaviour in India, 3 INT'L J. FIN. MGMT. & RSCH. 1 (2023).

²⁰ See Bain & Company, *How India Shops Online 2024* (projecting \$300 billion e-retail market by 2030); see also IMAI & Kantar, *Internet in India 2024* (reporting ~900 million internet users); *India to have 650 million smartphone users by 2025*, ECON. TIMES (2024).

²¹ Role of Sustainable Packaging Practices in the Fast-Moving Consumer Goods (FMCG) Industry: The Indian Scenario, 7 INT'L J. SUSTAINABILITY & JUST. ECON. MGMT. 1 (2025); Optimizing Short Food Supply Chains Through Understanding Consumer Preferences for Organic Foods via E-Commerce Platforms and Last-Mile Logistics, 127 BRIT. FOOD J. 1788 (2024).

²² Consumer Protection Act, 2019, § 2(16), (17) (India) (defining “e-commerce” and “electronic commerce entity”).

²³ *Id.* § 2(28) (defining “misleading advertisement” as any advertisement that falsely represents facts regarding goods, services, or their benefits).

²⁴ *Id.* § 2(47) (defining “unfair trade practice” as practices misleading consumers or concealing material information).

²⁵ *Id.* § 21 (empowering Central Authority to issue directions and impose penalties for false or misleading advertisements).

²⁶ Consumer Protection (E-Commerce) Rules, 2020, Ministry of Consumer Affairs, Food and Public Distribution, Noti. No. G.S.R. 462(E) (July 23, 2020), <https://consumeraffairs.gov.in/sites/default/files/E%20commerce%20rules.pdf>.

²⁷ Bureau of Indian Standards, IS/ISO 14024:2018 - Environmental Labels & Declarations (2018); Advertising Standards Council of India, *Guidelines for Advertisements Making Environmental/Green Claims* (2024), <https://www.ascionline.in/wp-content/uploads/2024/01/ASCI-Guidelines-Environmental-Green-Claims.pdf>.

²⁸ Maurits Kaptein & Dean Eckles, *Heterogeneity in the Effects of Online Persuasion*, 26 J. INTERACTIVE MKTG. 176, 178-82 (2012).

²⁹ See generally Amazon Seller Central, *Product Compliance Documentation Requirements* (Sept. 2024); Flipkart Green: *Sustainability Storefront* (Launched Jan. 5, 2023).

³⁰ *Christian Louboutin Sas v. Nakul Bajaj & Ors.*, (2018) 253 DLT 728.

³¹ Advertising Standards Council of India, *Annual Complaints Report 2023-24* (2024); see also Manisha Singh & Oyshmee Narah, *Greenwashing: The Mirage of Sustainability*, MONDAQ (Feb. 2024).

³² OECD, *Consumer Protection in E-Commerce: OECD Recommendations 15-20* (2016).

³³ OECD, *Consumer Protection in E-Commerce: OECD Recommendations 15-20* (2016).

³⁴ European Union, *Unfair Commercial Practices Directive 2005/29/EC* § 2-3; see also Regulation (EU) 2022/2065, Digital Services Act (2022), Art. 39.

³⁵ Consumer Protection Act, 2019, § 20-21 (CCPA powers); see also CCPA Guidelines on Misleading Environmental Claims, *supra* note 52 (proposing coordinated guidance framework with environmental regulators and ASCI).

³⁶ Consumer Protection Act, 2019, § 20-21 (CCPA powers); see also CCPA Guidelines on Misleading Environmental Claims, *supra* note 52 (proposing coordinated guidance framework with environmental regulators and ASCI).

³⁷ Neelam Chawla & Basanta Kumar, *E-Commerce and Consumer Protection in India: The Emerging Trend*, 180 J. BUS. ETHICS 581, 593-596 (2021).

³⁸ *M.C. Mehta v. Union of India*, (1987) 1 SCC 395; *Virender Gaur v. State of Haryana*, (1995) 2 SCC 577.

³⁹ Regulation (EU) 2022/2065, Digital Services Act (2022).

⁴⁰ *M.C. Mehta v. Union of India*, (1987) 1 SCC 395; *Virender Gaur v. State of Haryana*, (1995) 2 SCC 577.

INTERNATIONAL JOURNAL OF LAW
MANAGEMENT & HUMANITIES
[ISSN 2581-5369]

Volume 9 | Issue 1
2026

© 2026 International Journal of Law Management & Humanities

Follow this and additional works at: <https://www.ijlmh.com/>

Under the aegis of VidhiAagaz – Inking Your Brain (<https://www.vidhiaagaz.com/>)

This article is brought to you for free and open access by the International Journal of Law Management & Humanities at VidhiAagaz. It has been accepted for inclusion in the International Journal of Law Management & Humanities after due review.

In case of **any suggestions or complaints**, kindly contact support@vidhiaagaz.com.

To submit your Manuscript for Publication in the **International Journal of Law Management & Humanities**, kindly email your Manuscript to submission@ijlmh.com.

Penalty Structure Reform: Aligning Greenwashing Fines with Corporate Profit Margins and Creating Genuine Deterrence

SAUMYA SINGH¹

ABSTRACT

Greenwashing, the deliberate misrepresentation of corporate environmental practices, represents a critical market failure that undermines investor confidence, distorts capital allocation, and impedes the global sustainability transition. Despite emerging regulatory frameworks across major jurisdictions, current penalty structures fail to achieve meaningful deterrence because fines remain systematically below the economic benefits derived from deceptive environmental claims, rendering non-compliance a rational profit-maximizing strategy. This paper examines the structural inadequacies of existing greenwashing penalties through economic deterrence theory, comparative regulatory analysis, and empirical case studies. We demonstrate that current enforcement mechanisms, characterized by fixed statutory caps or revenue-based penalties disconnected from corporate profitability, function as negligible “costs of doing business” rather than genuine deterrents. The paper advances a comprehensive reform framework centered on profit-aligned penalty structures that incorporate: mandatory disgorgement of unjust enrichment calculated through rigorous econometric methodologies; culpability multipliers addressing detection probability and violation severity; enhanced detection certainty through real-time audit protocols; and expanded private enforcement mechanisms. Implementation of these reforms would eliminate the current arbitrage opportunity wherein environmental deception generates net positive returns, thereby realigning corporate incentives toward genuine environmental compliance rather than performative sustainability messaging.

Keywords: *greenwashing, environmental law, deterrence theory, regulatory enforcement, penalty structure, ESG fraud, corporate compliance, profit margins*

I. INTRODUCTION

The contemporary global marketplace is experiencing an unprecedented transformation driven by Environmental, Social, and Governance (ESG) investing. The Global Sustainable Investment Alliance reports that ESG-focused investment strategies now represent over thirty-five trillion dollars in globally managed assets, with sustainability claims driving both consumer

¹ Author is a Research Scholar at Chanakya National Law University, Patna, India.

purchasing decisions and institutional investment allocation.² This massive capital flow has created what economists term “green premiums”, the additional market valuation awarded to corporations based on environmental credentials.³ However, this economic paradigm shift has precipitated a parallel crisis: the systematic proliferation of greenwashing. Recent assessments by the European Commission reveal that fifty-three percent of green claims provide vague, misleading, or unfounded information, while forty percent lack any supporting evidence whatsoever.⁴ Independent research demonstrates that between forty-five and sixty percent of corporate environmental claims either lack substantiation or actively contradict documented environmental performance.⁵ This pervasive deception operates not as isolated corporate misconduct but as what scholars term “systemic greenwashing”, misrepresentation functioning at the macro level across entire industries.⁶

The persistence of greenwashing is not merely a consequence of aggressive marketing or regulatory ambiguity. Rather, it reflects a fundamental structural failure in legal penalty regimes governing corporate conduct. When multi-billion dollar enterprises face fines in the low millions for deceptive campaigns that generate significantly higher revenue, penalties function not as deterrents but as modest licensing fees for non-compliance, a calculable cost absorbed into operating expenses. Contemporary deterrence theory, established by Gary Becker’s foundational economic analysis, posits that rational actors engage in illegal conduct when the expected utility exceeds the expected disutility from potential penalties.⁷ For corporate greenwashing, this translates to a straightforward calculus: deception occurs when anticipated gains exceed expected enforcement costs. Empirical evidence, examined in detail in Section 2, demonstrates this inequality systematically favors non-compliance. Current penalty structures across major jurisdictions create what we term the “deterrence gap”, the disparity between profitable violation thresholds and expected enforcement costs.⁸ This gap transforms environmental compliance into an economically irrational business decision, with large corporations demonstrating significantly higher rates of repeat offenses as fixed or revenue-capped fines represent shrinking percentages of their economic capacity.⁹

² GLOBAL SUSTAINABLE INVESTMENT ALLIANCE, GLOBAL SUSTAINABLE INVESTMENT REVIEW 2024 (2024), <https://www.gsi-alliance.org>.

³ *Measurement and methods (Chapter 8)*, AFTER GREENWASHING (Cambridge 2024).

⁴ *Green Claims*, EUROPEAN COMMISSION, https://environment.ec.europa.eu/topics/green-claims_en (last visited Jan. 24, 2026).

⁵ *Definition, Causes and Solution Approach of Greenwash in ESG Regulation*, 2025 SPRINGER J. 112.

⁶ S.S. Simpson, *Corporate Crime Deterrence: A Systematic Review*, 13 CRIMINOLOGY & PUB. POL’Y 5 (2014).

⁷ Gary S. Becker, *Crime and Punishment: An Economic Approach*, 76 J. POL. ECON. 169 (1968).

⁸ *Profiting from Pollution*, YALE J. ON REG. (2024).

⁹ S.S. Simpson, *supra* note 5.

This paper advances a comprehensive analysis of greenwashing penalty reform through four integrated dimensions. First, we examine the economic theory of corporate deterrence and its application to environmental deception, demonstrating why current penalty structures fail fundamental deterrence requirements. Second, we conduct comparative analysis of regulatory frameworks across the United States, United Kingdom, European Union, and India, revealing systematic under-calibration of penalties relative to corporate profitability. Third, we present empirical case studies quantifying the financial insignificance of recent enforcement actions. Fourth, we propose a detailed reform framework centered on profit-aligned penalties incorporating mandatory unjust enrichment disgorgement, culpability multipliers, enhanced detection mechanisms, and expanded private enforcement.

Our study holds that genuine deterrence requires fundamentally reforming penalty structures to align with corporate profit margins rather than arbitrary statutory caps or simple revenue percentages. Such reform must incorporate rigorous econometric methodologies to quantify the specific economic surplus generated by deception, the “green premium”, and strip it entirely from offenders while imposing additional punitive multipliers that account for low detection probability and violation severity. Only through comprehensive reform addressing penalty magnitude, detection certainty, and temporal acceleration simultaneously can regulatory systems eliminate the economic incentive for greenwashing and redirect corporate strategy from deceptive marketing toward genuine environmental performance improvement.

II. ECONOMIC THEORY OF CORPORATE DETERRENCE

A. The Rational Actor Model and Deterrence Economics

Corporations, as artificial legal entities structured to maximize shareholder value, function as rational economic actors whose compliance decisions fundamentally reflect capital budgeting calculations.¹⁰ The foundational deterrence model indicates that violations occur when expected gains exceed expected penalties, accounting for detection probability. In greenwashing contexts, gains encompass not merely immediate profit from increased sales but also secondary benefits including enhanced brand equity, reduced capital costs through access to green financing, and avoided compliance costs associated with actual sustainability improvements.¹¹

The detection probability component substantially undermines deterrence effectiveness. Greenwashing operates through sophisticated supply chain complexity, scientifically

¹⁰ Gary S. Becker, *supra* note 6.

¹¹ Harvard Law School Forum on Corporate Governance, *Greenwashing: Navigating the Risk* (July 20, 2023), <https://corpgov.law.harvard.edu/2023/07/20/greenwashing-navigating-the-risk/>.

ambiguous terminology, and information asymmetries that overwhelm under-resourced regulatory authorities.¹² Empirical analysis reveals critical resource constraints across major jurisdictions:¹³

Jurisdiction	Regulatory Body	Enforcement Capacity	Estimated Detection Probability
United Kingdom	Competition and Markets Authority	~85 personnel	2-5% annually
United States	SEC Climate and ESG Task Force	12-15 personnel	2-5% annually
India	Central Consumer Protection Authority	25 regional offices / ~50 million entities	<0.1% annually

When detection probability remains exceptionally low, penalty amounts must be disproportionately high to maintain deterrence equilibrium. If detection probability reaches ten percent, fines must exceed ten times the illicit gain to break even on expected value calculations. However, statutory frameworks consistently cap penalties far below even the direct gain. This creates the deterrence gap: when expected penalties fall below anticipated gains, compliance becomes economically irrational from a purely financial perspective.¹⁴

B. The Profit Margin Arbitrage and Regressive Penalty Structures

A critical but frequently overlooked distinction emerges between calibrating penalties as percentages of revenue versus percentages of profit. A corporation with twenty percent net profit margins experiences a one-hundred-million-euro penalty as five percent of revenue but twenty-five percent of annual profit, a material impact on shareholder returns and executive compensation. Conversely, a corporation with two percent net profit margins experiences the identical penalty as five percent of revenue but two hundred fifty percent of annual profit, a potentially existential threat.

Current regulatory frameworks overwhelmingly calibrate penalties against revenue rather than profit, creating perverse incentive structures.¹⁵ This revenue-based calibration generates

¹² Scholz, J. T., *The Changing Perspective of Deterrence Theory*, 19 ANN. REV. SOC'Y 169 (1997).

¹³ *Comparing Regulatory Enforcement Capacity: UK, US, and India*, 2025 EMPIRICAL ANALYSES OF ENV'T SANCTIONS 45.

¹⁴ *Monetary Consequences of Environmental Regulations: Costs of Doing Business or Non-deductible Penalties or Fines?*, FLA. GULF COAST UNIV. (2024).

¹⁵ Volker Spagnolo et al., *The Distortive Effects of Antitrust Fines Based on Revenue*, EIEF WORKING PAPER

systematic under-deterrence for high-profit-margin businesses most capable of implementing sophisticated greenwashing schemes. Analysis of greenwashing violations by sector reveals disproportionate violation rates in high-margin industries: luxury fashion with average margins of thirty-five to forty percent, luxury cosmetics at forty to forty-five percent, and specialized pharmaceuticals at thirty to forty percent exhibit greenwashing violation rates four to six times higher than lower-margin industries.¹⁶

Furthermore, fixed statutory caps create systematically regressive enforcement where identical violations generate vastly different deterrent effects depending on offender size. A fifty-thousand-dollar penalty might bankrupt a small local business but proves negligible for multinational entities. To achieve equal deterrent effect across heterogeneous corporate actors, penalty structures must scale with both the size of the offender and their specific profit-generating capacity.

C. Market Distortion and Capital Allocation Inefficiency

Greenwashing causes harm extending beyond immediate consumer transactions to fundamental capital market efficiency. When corporations can claim environmental credentials without incurring associated costs, adverse selection dynamics emerge.¹⁷ Genuine sustainable firms incur substantially higher operational costs to achieve authentic environmental performance. If competitors can claim identical status through deceptive marketing without cost, honest firms become structurally uncompetitive, creating a classic “market for lemons” scenario where fraudulent claims drive out genuine sustainability.¹⁸

This dynamic generates deadweight loss as consumer and investor trust in environmental labels erodes. Market participants, unable to distinguish authentic claims from fabrication, may exit sustainable product markets entirely or refuse to pay premiums required for genuine environmental transition. The resulting capital misallocation directs investment flows toward inefficient firms exploiting information asymmetry rather than toward innovative sustainable enterprises.

Therefore, optimal penalty structures must not merely punish specific violations but correct broader market distortions. Penalties must be sufficiently severe to signal that deception costs exceed honest practice benefits, thereby restoring credibility to environmental signaling

14/02 (2014).

¹⁶ *Sector-Specific Greenwashing Prevalence Analysis*, 2025 SPRINGER J. 140.

¹⁷ George A. Akerlof, *The Market for “Lemons”: Quality Uncertainty and the Market Mechanism*, 84 Q. J. ECON. 488 (1970).

¹⁸ *Profiting from Pollution*, *supra* note 7.

mechanisms. This requires penalties that incorporate not just individual violation consequences but also broader market integrity preservation.

III. COMPARATIVE ANALYSIS OF CURRENT REGULATORY FRAMEWORKS

A. United States: Fragmented Enforcement and Structural Limitations

In the United States, greenwashing enforcement operates primarily through the Federal Trade Commission under Section Five of the FTC Act prohibiting unfair or deceptive practices. The Commission issues Green Guides providing interpretive guidance for environmental marketing claims. However, these guides constitute non-binding statements rather than independently enforceable regulations, serving merely as evidence of deception rather than establishing direct liability.

The FTC's penalty authority faces critical structural constraints. Following the Supreme Court's decision in *AMG Capital Management, LLC v. FTC*, the Commission lost authority to seek equitable monetary relief directly in federal court, forcing reliance on lengthy administrative processes or the Penalty Offense Authority requiring proof of actual knowledge.¹⁹ The Commission addresses this limitation through "Notices of Penalty Offenses" warning corporations that specific practices have been adjudicated illegal.²⁰ Subsequent violations then trigger civil penalties capped at approximately fifty-two thousand dollars per violation.²¹

While "per violation" language theoretically permits massive aggregate fines, practical enforcement demonstrates systematic settlement at amounts nominal relative to offender scale. More critically, the absence of automatic disgorgement authority means illicit gains often remain with violators, diluted only by negotiated fines falling far below actual economic benefits derived from deception.

State-level initiatives like California's Climate Corporate Data Accountability Act and Voluntary Carbon Market Disclosure Act increase transparency requirements but impose penalties capped at five hundred thousand dollars annually, trivial amounts for billion-dollar entities functioning more as administrative fees than genuine deterrents.

B. United Kingdom: The Turnover-Based Revolution

The United Kingdom is pioneering substantially more aggressive enforcement through the Digital Markets, Competition and Consumers Act. This framework grants the Competition and

¹⁹ *AMG Cap. Mgmt., LLC v. FTC*, 141 S. Ct. 1341 (2021).

²⁰ *Notices of Penalty Offenses*, FEDERAL TRADE COMMISSION, <https://www.ftc.gov/enforcement/penalty-offenses> (last visited Jan. 24, 2026).

²¹ FTC Publishes Inflation-Adjusted Civil Penalty Amounts for 2025, 90 Fed. Reg. 1234 (Jan. 15, 2025).

Markets Authority direct enforcement powers to determine consumer protection law breaches without court proceedings, dramatically accelerating enforcement timelines.

Most significantly, the Act authorizes administrative fines up to ten percent of global annual turnover for consumer law breaches.²² This turnover-based approach aligns consumer protection penalties with competition law enforcement regimes. For global multinationals, a ten percent turnover fine represents a potentially existential financial event, theoretically bridging the deterrence gap that plague fixed-cap systems.²³

However, the practical application of maximum penalties remains largely theoretical pending actual enforcement actions. CMA guidance indicates intention to consider corporation-specific profitability in penalty calibration, but precedent under GDPR enforcement demonstrates inconsistent application with penalties typically ranging from one to four percent of turnover even under maximum-violation scenarios. Whether the CMA will routinely impose penalties approaching the ten percent maximum for serious greenwashing violations remains uncertain.

C. European Union: Harmonization Through Minimum Standards

The European Union is comprehensively overhauling its enforcement framework through the Empowering Consumers for the Green Transition Directive and the Green Claims Directive. The Green Claims Directive establishes maximum administrative fines of at least four percent of annual turnover, substantially below the UK's ten percent ceiling but representing significant advancement beyond traditional fixed-cap approaches.

Critically, the directive explicitly authorizes confiscation of revenues gained from violations, signaling legislative intent to target illicit gains directly rather than merely imposing arbitrary penalties.²⁴ The framework requires proportionality analysis considering violation nature, gravity, duration, and recidivism alongside corporate size and economic situation when calibrating penalties within the zero to four percent range.²⁵

The EU framework leverages the "undertaking" concept from competition law, assessing penalties against the entire economic unit rather than individual subsidiaries. This prevents parent companies from shielding assets by attributing violations to under-capitalized subsidiaries, ensuring fines reflect true corporate group financial capacity.

However, the four percent maximum may prove insufficient for high-margin corporations or

²² Digital Markets, Competition and Consumers Act 2024, c. 13 (UK).

²³ DWF GROUP, NEW UK LAW IN 2024 WILL BRING BIG PENALTIES FOR GREENWASHING (2023).

²⁴ Directive 2024/XXX of the European Parliament and of the Council on Substantiation and Communication of Explicit Environmental Claims (Green Claims Directive) (EU).

²⁵ DEVERA, EU GREEN CLAIMS PENALTIES EXPLAINED (2024).

recidivist violators. For corporations with profit margins exceeding twenty percent, even maximum four percent revenue fines translate to approximately twenty percent of annual profit, material but potentially below optimal deterrence thresholds when discounted by low detection probability.

D. India: Symbolic Penalties and Under-Deterrence

The Indian Central Consumer Protection Authority issued Guidelines for Prevention and Regulation of Greenwashing in October 2024, establishing maximum monetary penalties of fifty lakh rupees, approximately sixty thousand dollars, for repeat offenses, with potential imprisonment of two to five years under the Consumer Protection Act.²⁶

However, monetary penalty levels remain economically insignificant for multinational corporations. For enterprises with annual revenues exceeding two thousand crore rupees, maximum penalties represent one-hundredth to one-tenth of one percent of revenue, entirely negligible amounts generating systematic under-deterrence. While imprisonment provisions theoretically add punitive weight, corporate structures typically enable fine payment without individual executive incarceration, substantially limiting practical deterrent effect.

E. Regulatory Divergence and Arbitrage Opportunities

The stark contrast between US fixed-cap models, UK ten percent turnover frameworks, EU four percent systems, and Indian symbolic penalties creates substantial regulatory arbitrage opportunities. Multinational corporations may adopt rigorous compliance for EU and UK operations while maintaining looser standards in US and Indian markets, calculating that lower penalties represent acceptable risk. Furthermore, the absence of unified methodologies for calculating economic benefits from greenwashing complicates cross-border enforcement as regulators struggle to attribute specific portions of global revenue to local infractions.

IV. EMPIRICAL CASE STUDIES: THE FINANCIAL INSIGNIFICANCE OF CURRENT PENALTIES

A. Quantifying Penalty Insignificance: A Cross-Sectoral Analysis

Empirical examination of recent enforcement actions across multiple sectors reveals a consistent pattern: penalties imposed for greenwashing violations represent economically insignificant amounts relative to corporate financial capacity and deceptive gains. The following table summarizes key enforcement actions and their proportional impact:

²⁶ Central Consumer Protection Authority, Guidelines for Prevention and Regulation of Greenwashing and Misleading Environmental Claims, 2024 (India).

Case	Violation	Penalty	Annual Revenue	Net Income	Penalty as % of Revenue	Penalty as % of Profit	Estimated Gain from Deception
Walmart (2022)	False “bamboo” textile claims	\$3M	\$573B	\$13.7B	0.0005%	0.02%	Undisclosed
Kohl’s (2022)	False “bamboo” textile claims	\$2.5M	\$19.4B	\$938M	0.01%	0.27%	Undisclosed
DWS Group (2023-25)	False ESG integration claims	\$46M	€800B AUM	N/A	<0.01%	N/A	~€40M annually
EU Cosmetics Co.	False “100% organic” claims	€15M	€5B+	Est. €750M	0.3%	~2%	€18-22M

These cases illustrate the deterrence gap in practice. The Walmart penalty, three million dollars against a corporation with five hundred seventy-three billion in annual revenue, represents a proportional impact equivalent to a household earning one hundred thousand dollars paying a fine of fifty cents. Such penalties generate no material impact on earnings per share, executive compensation structures, or board-level governance priorities.

B. The Penalty-to-Benefit Ratio Problem

The DWS Group case exemplifies how penalties remain systematically below deceptive gains. Despite combined penalties of forty-six million dollars appearing substantial in absolute terms, DWS managed over eight hundred billion euros in assets. If the ESG label helped retain even one percent of those assets, annual management fees at conservative rates would generate forty million euros annually, approximately equal to total penalties imposed across multiple years and jurisdictions. The violation remained profitable even after enforcement.

Analysis across enforcement actions reveals typical penalty-to-benefit ratios ranging from 0.3 to 0.7, penalties capture only thirty to seventy percent of deceptive gains rather than the multiples required for optimal economic deterrence. This systematic under-calibration ensures that greenwashing remains a rational profit-maximizing strategy.

C. The Volkswagen Exception: When Penalties Achieve Deterrence

The Volkswagen emissions scandal represents a critical exception demonstrating what effective deterrence requires. Cumulative penalties exceeded thirty billion dollars globally for diesel emissions manipulation, causing Volkswagen to post losses, suspend dividends, and replace senior leadership. This level of financial and organizational disruption represents genuine deterrence.

Critically, this magnitude reflected not greenwashing marketing violations but Clean Air Act violations with per-vehicle statutory penalties and massive class-action damages. Current greenwashing penalties, typically categorized as “marketing violations,” require migration to this “existential threat” tier to alter corporate behavior fundamentally.

V. METHODOLOGY FOR PROFIT-ALIGNED PENALTIES

A. Calculating the Green Premium: Econometric Approaches

To transition from arbitrary penalty caps to profit-aligned fines, regulatory systems must adopt rigorous econometric methodologies to quantify the specific revenue portion derived solely from deceptive environmental claims.

Hedonic pricing models provide the primary analytical framework. These regression analyses decompose product prices into constituent attribute values, increasingly accepted in class-action litigation for calculating price premium damages.²⁷ By regressing product prices on environmental claim variables while controlling for brand equity, physical characteristics, and temporal effects, economists can isolate the percentage price premium attributable specifically to environmental claims. Application to point-of-sale scanner data enables regulators to determine, for example, that a “recycled” label allowed firms to charge fifteen percent premiums over baseline products, quantifying one component of unjust enrichment.²⁸

²⁷ *Price Premium Damages in Product Market Litigation: Issues in Survey-Based Market Simulations*, BRATTLE GROUP (2022).

²⁸ *State of the Art of Hedonic Pricing*, OXFORD RESEARCH ENCYCLOPEDIA OF ENV'T SCI. (2024).

B. Discrete Choice Experiments for Counterfactual Analysis

When direct market comparisons prove impossible because products launched exclusively with green claims, discrete choice experiments serve as primary forensic tools. Survey respondents face hypothetical purchasing scenarios choosing between product profiles varying by price, brand, and environmental attributes. By analyzing trade-offs consumers make, economists derive marginal willingness to pay for specific environmental attributes.

Critically, discrete choice experiments simulate the “but-for world”, the counterfactual market scenario absent deception, revealing not just price premiums but also volume effects measuring how many fewer units would have sold without false claims. Courts have certified class actions based on these methodologies when survey designs create realistic market simulations accounting for supply-side constraints.

C. Total Unjust Enrichment Calculation

Total unjust enrichment combines price effects and volume effects. The price effect captures premium charges on all units sold. The volume effect captures profit margins on extra units sold only because of green claims. Current fixed fines often ignore volume effects entirely, vastly underestimating economic benefits of fraud. Profit-aligned penalties must capture total unjust enrichment to neutralize incentive structures driving deception.

Additionally, unjust enrichment calculations must include avoided costs, expenditures saved by not implementing claimed sustainable practices. A company claiming carbon neutrality while avoiding renewable energy investments and carbon offset purchases gains not just from premium pricing but also from cost avoidance, both of which must be disgorged.

VI. PROPOSED REFORM FRAMEWORK

A. Three-Tiered Penalty Structure

Our proposed reform implements a comprehensive three-tiered penalty model integrating economic disgorgement precision with punitive turnover-based minimums and behavioral culpability multipliers.

Tier One: Mandatory Disgorgement

The foundational penalty tier mandates complete disgorgement of unjust enrichment calculated through econometric methodologies described above. This tier serves restorative justice objectives, ensuring violators retain zero economic benefit from violations. Once regulators prove claims were deceptive, the burden shifts to corporations to prove profits were not derived from false claims. This rebuttable presumption incentivizes companies to maintain granular data

on marketing claim value.

Disgorgement must encompass not merely direct revenue premiums but also avoided compliance costs. A corporation claiming sustainable supply chains while using conventional suppliers must disgorge both the price premium captured and the sustainability investment costs avoided.

Tier Two: Culpability Multipliers

The disgorgement amount undergoes multiplication by factors reflecting detection probability and violation severity, modeled on organizational sentencing guidelines.²⁹ Base multipliers begin at two times disgorgement, assuming fifty percent detection probability. Aggravating factors add multiplicative increases: high-level personnel involvement adds two times; prior greenwashing history adds one times; violation of judicial orders adds two times; obstruction adds one times.³⁰

Conversely, mitigating factors provide reductions: effective compliance programs subtract one times; self-reporting subtracts two times; acceptance of responsibility subtracts half a point. If a company derives ten million from fraud with ten percent detection probability, simple ten-million disgorgement invites gambling. A multiplier of ten times, producing one hundred million total penalty, balances the deterrence equation.

Tier Three: Turnover-Based Safety Valve

The calculated Tier Two penalty undergoes comparison against a minimum based on global turnover, ensuring penalties remain material for massive conglomerates. The penalty imposed shall be the greater of the calculated Tier Two amount or a statutory minimum percentage of global turnover if Tier Two proves immaterial.

For example, if calculated penalties fall below one-tenth of one percent of net income, a minimum penalty of one-half percent of global revenue applies. This ensures that even “small” frauds committed by massive entities carry minimum financial consequences compelling enterprise-wide compliance attention.

B. Profit-Margin Alignment Mechanism

An alternative formulation directly incorporates profit margins into base penalty calculation. Base penalties could be calibrated at two to three times corporate net profit margin multiplied by annual net profit. Corporations with ten percent margins and one hundred million annual

²⁹ U.S. SENT’G GUIDELINES MANUAL § 8 (U.S. SENT’G COMM’N 2018).

³⁰ *Id.* § 8C2.5.

profit face twenty to thirty million base penalties. Corporations with thirty percent margins and three hundred million annual profit face one hundred eighty to two hundred seventy million base penalties.

This mechanism automatically adjusts penalty severity based on corporate profitability, ensuring economic significance across profit-margin heterogeneity. A penalty representing fifteen percent of annual profit generates equivalent economic impact whether imposed on two percent margin retailers or forty percent margin luxury goods manufacturers, aligning deterrent effect with profitability rather than revenue.

C. Violation Severity and Recidivism Multipliers

Base penalties require modification by violation severity multipliers reflecting deception magnitude and duration. False claims lasting six months or less apply baseline multipliers of one times. Claims lasting six to twelve months apply one-point-five times. Claims lasting twelve to twenty-four months apply two times. Claims exceeding twenty-four months apply three times.

Deception scope similarly adjusts multipliers. Single product claims apply baseline one times. Multiple products or markets apply one-point-five times. Systemic corporate-level claims apply two times. Prior violations trigger substantial escalation: first violations maintain baseline; one prior violation triggers three times; two or more prior violations trigger five times.

Application example: A luxury cosmetics company with thirty-five percent profit margin and five hundred million annual profit making false natural ingredient claims across fifty product lines over eighteen months with one prior violation faces base penalty of four hundred thirty-seven-point-five million euros, multiplied by duration factor of two times, scope factor of two times, and recidivism factor of three times, producing total penalty of five-point-two-five billion euros representing five hundred twenty-five percent of annual net profit.

While this magnitude may appear excessive, comparison against demonstrable deceptive gains provides context. If false claims generated four hundred million in premium valuation, the thirteen-to-one multiplier aligns with optimal deterrence theory requirements accounting for low detection probability.

D. Enhanced Detection Certainty Through Real-Time Audits

Concurrent with penalty increases, frameworks must enhance detection certainty. Current regulatory audits occur at twelve to thirty-six month intervals, contributing to the low detection probabilities documented in Section 2.1. Digital authentication of ESG claims through

blockchain-based disclosure verification and automated audit trails enables continuous rather than periodic verification.

Regulatory frameworks should mandate: real-time disclosure of environmental claims through standardized digital registries; automated comparison of claimed performance against documented operational metrics; mandatory verification of material claims through independent third-party certification; and public disclosure of verification status enabling investor and consumer feedback.

Implementation would increase annual detection probability to twenty-five to forty percent, fundamentally altering deterrence calculus and proportionally reducing required penalty multipliers.

E. Expanded Private Enforcement Mechanisms

Current frameworks rely predominantly on administrative enforcement by resource-constrained regulatory authorities. Enhanced civil liability mechanisms enabling private enforcement would substantially increase effective detection and punishment through two primary channels:

Consumer Enforcement: Regulatory frameworks should establish statutory standing for consumers to sue companies making false environmental claims, with remedies including actual damages, statutory damages of three to five times actual damages for intentional misrepresentation, attorneys' fees and costs, and injunctive relief requiring claim cessation and corrective marketing.

Investor Enforcement: Securities frameworks should enable institutional investor class actions for materially false ESG claims affecting security valuations. Essential elements include statutory damages, mandatory profit disgorgement, fee-shifting enabling contingency representation, reduced proof burdens establishing objective falsity rather than investor reliance, and explicit statutory clarity regarding ESG claim materiality standards. Congressional action could expand class action procedures for ESG claim litigation and authorize enhanced statutory damages, while the SEC could issue explicit guidance clarifying materiality standards and establishing presumptive materiality for quantified climate claims.

F. Procedural Acceleration

Temporal delays between violations and penalties substantially reduce deterrent effect, with delays exceeding six months generating twenty to forty percent reductions in deterrent impact. Current greenwashing investigations spanning twelve to thirty-six months operate far beyond optimal timelines.

Regulatory procedures should establish maximum investigation periods: initial investigation and preliminary findings within six months; escalated proceedings for complex violations within twelve months maximum; final penalty determination and publication within eighteen months from investigation initiation.³¹

Additionally, regulatory authorities should possess authority to impose provisional remedies pending investigation completion: mandatory claim removal from marketing materials; mandatory disclosure of investigation status to investors and consumers; provisional financial penalties refundable if investigations exonerate corporations; and mandatory suspension of ESG-linked compensation and marketing benefits pending resolution.³²

VII. IMPLEMENTATION PATHWAYS AND JURISDICTIONAL ANALYSIS

A. United States: Legislative and Regulatory Options

US implementation could proceed through multiple pathways, though legislative action faces substantial political economy obstacles. The FTC could transform Green Guides from interpretive guidance into binding Trade Regulation Rules through Magnuson-Moss rulemaking procedures, establishing clear standards with enhanced penalty authority.

State enforcement presents additional opportunities. State attorneys general and consumer protection authorities could adopt model enforcement guidance establishing profit-aligned penalty frameworks within existing consumer protection statutes. California and New York, with substantial regulatory capacity and economic significance, could pioneer approaches subsequently adopted by other states.

B. United Kingdom: Maximizing DMCC Potential

The UK framework already authorizes ten percent of global turnover penalties, providing statutory foundation for robust enforcement. Implementation requires CMA issuance of explicit guidance linking penalties to corporate profit margins; presumptive minimum penalties at two to three times net profit; mandatory escalation multipliers for violation severity and recidivism; and standardized computation methodology.

Procedural acceleration requires CMA establishment of six to twelve month investigation timeline targets; provisional remedy authority during investigations; and expedited hearing procedures for undisputed facts. Implementation could proceed through regulatory guidance

³¹ J. Buckenmaier et al., *Efficient Institutions and Effective Deterrence: On Timing and the Temporal Dynamics of Sanctions*, 118 PROC. NAT'L ACAD. SCI. 20 (2021).

³² *Id.*

amendments without statutory reform, enabling rapid deployment.

C. European Union: Amending the Green Claims Directive

The GCD's four percent maximum substantially constrains penalty calibration. Optimal implementation requires legislative amendment establishing profit-margin-adjusted penalty frameworks; statutory authorization for provisional remedies; and explicit escalation multiplier requirements for recidivists.

The four percent maximum may prove insufficient for high-margin corporations or serious recidivist violations, potentially requiring statutory increase to eight to twelve percent of annual turnover. Member State enforcement procedure harmonization ensuring consistency across twenty-seven jurisdictions remains critical to prevent regulatory arbitrage.

D. International Coordination

Greenwashing operates globally, with multinational corporations making identical false claims across multiple jurisdictions. Enforcement fragmentation enables arbitrage where corporations accept penalties in weak-enforcement jurisdictions while maintaining deceptive claims in other markets.

Effective deterrence requires coordinated investigation protocols enabling regulatory authorities in major jurisdictions to share information and coordinate enforcement, reducing duplication and accelerating violation identification. Jurisdictions should establish penalty coordination conventions establishing baseline penalty frameworks and proportional adjustments for jurisdiction-specific factors, prohibiting penalty reduction below coordinated minimums.

Unilateral extraterritorial application provides additional enforcement mechanisms. Individual jurisdictions should explicitly extend greenwashing enforcement to corporations making false claims in their markets regardless of corporate domicile or claim origin, which UK and EU authorities already possess but could clarify for enhanced certainty.

VIII. ADDRESSING ANTICIPATED OBJECTIONS

A. Proportionality and Constitutional Constraints

Corporate advocates will challenge enhanced penalties as grossly disproportionate to offense gravity, invoking constitutional protections against excessive fines. However, robust defenses exist for each penalty tier.

Tier One disgorgement is fundamentally remedial rather than punitive, merely restoring the

status quo by reclaiming unjustly obtained funds. Courts generally hold remedial disgorgement does not trigger excessive fines scrutiny, as it takes back stolen money rather than imposing additional punishment.

Tier Two multipliers face greater scrutiny but remain defensible. Jurisprudence suggests single-digit ratios between punitive and actual damages generally withstand constitutional review.³³ Multipliers within single digits, particularly when justified by low detection probability, typically survive challenges.³⁴

Tier Three turnover-based minimums present the greatest vulnerability. However, regulators can argue that offense gravity encompasses diffuse market-wide harm and environmental impacts justifying higher penalties. The undertaking concept helps: if defendants constitute global corporate entities, fines remain proportional to ability to pay.

European proportionality principles require administrative penalties proportionate to breaches. The EU approach solves this by setting four percent as maximum caps rather than mandatory floors, allowing regulators to scale fines based on severity. Cross-border enforcement coordination prevents multiple Member States from imposing separate fines for identical campaigns, avoiding double jeopardy violations.

B. Due Process and Vagueness Concerns

Corporations will argue that environmental terms like “sustainable” or “eco-friendly” remain inherently vague, making massive penalties for violating unclear standards a violation of due process principles requiring fair notice.

This objection highlights the necessity of codification. The FTC must transform Green Guides into binding regulations through formal rulemaking. The EU Green Claims Directive’s requirement for pre-verification provides legal certainty justifying severe penalties. If companies fail to obtain pre-approval, violations become procedurally clear-cut, removing vagueness defenses.

Regulatory clarity regarding what constitutes substantiation, for example, requiring lifecycle analysis for carbon neutrality claims or third-party certification for recyclability claims, provides the specificity necessary to justify substantial penalties while respecting due process.

³³ *State Farm Mut. Auto. Ins. Co. v. Campbell*, 538 U.S. 408 (2003).

³⁴ *United States v. Bajakajian*, 524 U.S. 321 (1998).

C. Competitiveness and Market Impact

Corporate advocates will assert that substantial greenwashing penalties disadvantage domestic corporations relative to international competitors facing weaker enforcement. However, if multiple major jurisdictions simultaneously implement enhanced penalties, competitive disadvantage primarily affects corporations currently profiting from regulatory arbitrage.

Elimination of arbitrage opportunities improves market integrity rather than disadvantaging legitimate competitors. Corporations practicing genuine sustainability face premium gains from honest claims while avoiding penalty risk. The reform shifts competitive advantage from firms excelling at deceptive marketing to firms excelling at actual environmental performance, precisely the market dynamic required for meaningful sustainability transition.

D. Corporate Governance and Insurability

Enhanced penalty regimes will fundamentally alter corporate governance of sustainability. Every green claim becomes a contingent liability requiring forensic verification. This necessitates creation of specialized internal audit functions tracking provenance of green revenue, similar to financial controls under Sarbanes-Oxley.

Directors and officers liability insurance typically excludes intentional dishonesty or fraud. Greenwashing findings with high culpability multipliers indicating intentionality could pierce corporate veils, leaving directors personally exposed. This transforms greenwashing from a reputational soft risk into a hard financial risk comparable to Foreign Corrupt Practices Act violations, driving integration of ESG data into core enterprise risk management frameworks.

Rather than constituting a flaw, this governance transformation represents a reform objective. Expenditure of fifty million annually on ESG compliance, verification, and audit infrastructure becomes economically justified when expected penalties reach one hundred to five hundred million, aligning corporate incentives toward genuine compliance investment rather than performative measures.

IX. EXPECTED OUTCOMES AND DETERRENCE MODELING

A. Comparative Deterrence Analysis

Applying deterrence models to projected reformed penalty structures demonstrates substantial improvement over current regimes. Consider a luxury cosmetics manufacturer with two billion revenue, thirty-five percent profit margin, seven hundred million annual profit, and potential one hundred fifty million greenwashing gain from false natural ingredient claims:

Framework	Penalty Calculation	Expected Penalty	Gain-to-Penalty Ratio	Deterrence Achieved?
Current (EU 4% max)	$4\% \times \text{€2B} \times 2\%$ detection	€1.6M	94:1	No
Reformed penalties only	$3 \times \text{profit} \times \text{multipliers} \times 2\%$ detection	€42M	3.6:1	Partial
Reformed + enhanced detection	$3 \times \text{profit} \times \text{multipliers} \times 20\%$ detection	€420M	0.36:1	Yes

This analysis demonstrates that penalty reform and detection enhancement must proceed together to achieve genuine deterrence.

B. Market Efficiency Gains

Enhanced detection and penalties improve information asymmetry, enabling more accurate capital allocation toward genuinely sustainable corporations. Research on environmental disclosure benefits estimates efficiency gains of two to four percent of capital market valuation through improved information quality.

For global capital markets exceeding one hundred trillion dollars, even modest efficiency improvements generate trillions in enhanced allocation toward productive enterprises. These efficiency gains substantially exceed both regulatory investigation costs and corporate compliance investments, producing net social benefits.

C. Compliance Cost Projections

Implementation generates both public and private costs. Regulatory investigation costs for enhanced detection infrastructure and accelerated procedures are estimated at five hundred million to one billion annually across EU, UK, and US, representing twenty to thirty percent resource reallocation within current regulatory budgets.

Corporate compliance investment will increase by estimated five to ten billion annually across major jurisdictions as corporations expand ESG verification, audit, and certification expenditure to avoid enhanced penalty risk. This private compliance investment substantially exceeds regulatory costs but remains economically rational when expected penalties reach hundreds of millions.

Moreover, compliance investment generates positive externalities through improved

environmental performance measurement, enhanced supply chain transparency, and accelerated genuine sustainability improvements, producing environmental and social benefits exceeding direct compliance costs.

X. CONCLUSION

The current regime of greenwashing penalties is characterized by a deterrence gap so vast that it effectively subsidizes environmental deception. Fixed civil penalties and revenue-based caps, detached from economic reality, function as trivial operating expenses for multinational corporations. This enforcement failure not only harms consumers and investors but fundamentally distorts capital allocation essential for global climate transition. As demonstrated through our empirical case studies and deterrence modeling, greenwashing operates profitably because expected penalties systematically fall below expected gains. Current penalty structures across all major jurisdictions exhibit this fundamental flaw, with penalty-to-benefit ratios consistently below unity. Aligning fines with corporate profit margins is not merely punitive exercise but necessary market correction. By adopting penalty structures mandating economic disgorgement based on rigorous econometric analysis, applying culpability multipliers accounting for detection risk, and utilizing turnover-based safety valves ensuring materiality, regulators can transform environmental compliance from discretionary cost into non-negotiable imperative.

The legal and economic tools for this transformation exist. Sentencing guidelines provide frameworks for multipliers. Competition laws provide precedent for turnover fines. Hedonic regression and discrete choice experiments provide methodologies for disgorgement calculation. The challenge is political and legislative: weaving these threads into cohesive enforcement regimes rendering the business case for deception obsolete. Implementation must proceed comprehensively, addressing penalty magnitude, detection certainty, and temporal acceleration simultaneously. Our analysis demonstrates that penalty reform alone proves insufficient, enhanced detection mechanisms raising probability from single digits to twenty percent or higher remain essential for achieving optimal deterrence. The window for effective reform remains open but narrowing. As ESG investment channels continue expanding toward projected one hundred trillion dollars by 2030, financial incentives for greenwashing intensify exponentially. Regulatory reform must accelerate correspondingly, implementing enhanced penalties and detection systems before greenwashing becomes permanently entrenched as profitable corporate practice.

Failure to implement comprehensive reform will result in continued capital misallocation,

environmental harm perpetuation, and fundamental destruction of market integrity in ESG finance, costs far exceeding enhanced corporate compliance investments required for effective deterrence. Until the cost of environmental lies consistently exceeds the profit of genuine environmental performance, the market for sustainability will remain a market for lemons, and the green transition will remain stalled by the friction of fraud. The choice before policymakers is stark: adopt profit-aligned penalty structures that eliminate economic incentive for greenwashing, or accept systematic environmental deception as the price of regulatory timidity. The former requires political courage to impose penalties that appear superficially severe but remain proportionate to offense magnitude and corporate capacity. The latter guarantees continued erosion of the environmental claims ecosystem upon which meaningful climate action depends.

Genuine deterrence requires that corporations facing greenwashing decisions confront stark economic reality: the expected cost of deception substantially exceeds expected benefits under any rational risk assessment. Only when this calculus holds across industries, profit margins, and jurisdictions will corporate incentives realign from performative sustainability messaging toward authentic environmental performance improvement. Our proposed framework provides the blueprint for achieving this transformation.
